GRUPO BIMBO



Annual Report 2004

Tasty
innovative
healthy...
and close to you

Grupo Bimbo is the leading baking company in the Americas and one of the largest in the world, with 71 plants and four divisions located in 14 countries.

Product lines include: bread and sweet baked goods, buns, cookies, fruit bars, pastries, packaged goods, tortillas, goat milk caramel (cajeta), salted snacks and candies.

Group Profile

Grupo Bimbo manufactures more than 4,500 products and manages approximately 100 well-known brands. In addition, it has one of the most extensive distribution networks in the world, covering 30,000 routes with over 29,000 vehicles. This makes it one of the largest transportation fleets in the western hemisphere, serving more than 1,300,000 points of sale. The Group employs over 74,000 people.

Business units



BIMBO S.A. de C.V.

- HEADQUARTERS: Mexico City, Mexico.
- MAIN PRODUCTS: Packaged bread, buns, pastries, sweet rolls, cookies, tortillas, tostadas and fruit bars.
- MAIN BRANDS: Bimbo, Marinela, Tia Rosa, Wonder, Milpa Real, Lara, Suandy, Lonchibon, Del Hogar, La Mejor, Monarca, Breddy and Tulipan.



BARCEL S.A. de C.V.

- HEADQUARTERS: Lerma, Mexico.
- MAIN PRODUCTS: Sweet and salted snacks, confectionery products, chocolates, goat milk caramel (cajeta) and gummies.
- MAIN BRANDS: Barcel, Ricolino, Coronado, Juicee Gumme and Parklane.



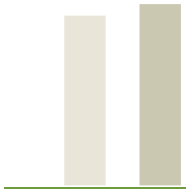
BIMBO BAKERIES USA, INC.

- HEADQUARTERS: Ft Worth, Texas.
- MAIN PRODUCTS: Packaged bread, buns, bagels, english muffins, pastries, sweet rolls, cookies, tortillas and pizza crusts.
- MAIN BRANDS: Oroweat, Mrs Baird's, Bimbo, Entenmann's, Thomas', Tia Rosa, Marinela, Francisco, Old Country, Boboli and Webers.



LATIN AMERICA DIVISION (OLA)

- HEADQUARTERS: Buenos Aires, Argentina.
- MAIN PRODUCTS: Packaged bread, buns, pastries, cookies, alfajores, tortillas and pizza crusts.
- MAIN BRANDS: Bimbo, Marinela, Pullman, Plus Vita, Ideal, Holsum, Trigoro, Pyc, Bontrigo,Cena and Fuchs.

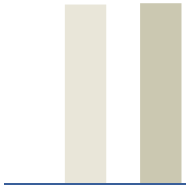


+ 7.4%

Net Sales
MEXICO

33,197 | 35,651 | millions of pesos

2003 | 2004



+ 0.7%

Net Sales
BBU
Bimbo Bakeries USA

13,344 | 13,442 | millions of pesos

2003 | 2004

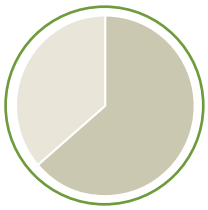


+ 4.4%

Net Sales
OLA
Organización Latinoamérica

3,405 | 3,556 | millions of pesos

2003 | 2004

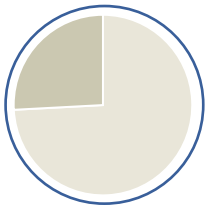


67%

Sales Breakdown

MEXICO

Percentage of consolidated net sales

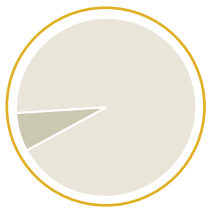


26%

Sales Breakdown

BBU
Bimbo Bakeries USA

Percentage of consolidated net sales



7%

Sales Breakdown

OLA
Organización Latinoamérica

Percentage of consolidated net sales

Grupo Bimbo around the world



Mexico (cities)

Chihuahua | Mexico City | Gómez Palacio | Guadalajara | Hermosillo | Irapuato | Mazatlán | Mérida | Mexicali | Monterrey | Puebla | San Luis Potosí | Tijuana | Toluca | Veracruz | Villahermosa

United States (cities)

Abilene | Denver | Escondido | Fort Worth | Houston | Los Angeles | Lubbock | Montebello | Portland | Tampa | Sacramento | San Antonio | San Francisco | Waco

Latin America (countries)

Argentina | Brazil | Chile | Colombia | Costa Rica | El Salvador | Guatemala | Honduras | Nicaragua | Peru | Venezuela

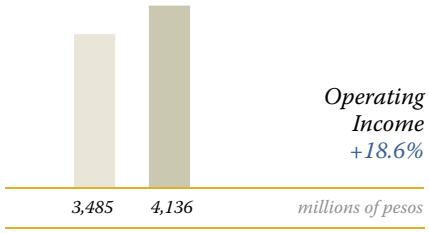
Europe (country)

Czech Republic

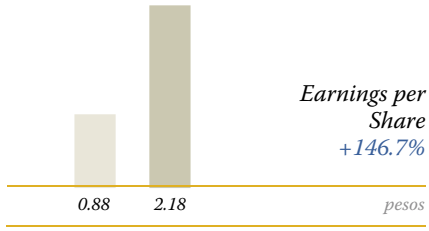


Net Sales

Mexico 67%
BBU 26%
OLA 7%
2004



Operating Income
+18.6%

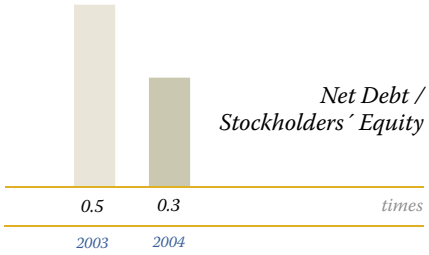


Earnings per Share
+146.7%

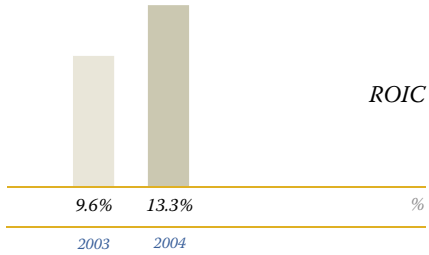


Total Assets

Mexico 60%
BBU 29%
OLA 11%
2004



Net Debt / Stockholders´ Equity



ROIC

Financial *and operating highlights*

	2003	2004	Change
• NET SALES	49,100	51,545	5.0%
Mexico	33,197	35,651	7.4%
BBU	13,344	13,442	0.7%
OLA	3,405	3,556	4.4%
• OPERATING INCOME	3,485	4,136	18.6%
Mexico	4,067	4,484	10.3%
BBU	(442)	(294)	-33.5%
OLA	(158)	(84)	-46.8%
• EBITDA	5,052	5,746	13.7%
Mexico	5,143	5,554	8.0%
BBU	(120)	46	NA
OLA	11	106	NA
• MAJORITY NET INCOME	1,041	2,569	146.7%
Total Assets	33,527	33,904	1.1%
Total Liabilities	16,948	16,543	-2.4%
Shareholders´ Equity	16,579	17,361	4.7%
Net Debt / EBITDA	1.5x	0.8x	
Net Debt / Stockholders´ Equity	0.5x	0.3x	
ROA	3.1%	7.6%	
ROE	6.3%	14.8%	
ROIC	9.6%	13.3%	
Earnings per Share (pesos)	0.88	2.18	146.7%
Total Shares Outstanding ('000s)	1,175,800	1,175,800	
Share Price at year-end (pesos)	20.43	28.16	37.8%

All figures herein are expressed in millions of constant Mexican pesos as of December 31, 2004, unless stated otherwise, and have been prepared according to Generally Accepted Accounting Principles in Mexico; all percentage changes are expressed in real terms. Consolidated results do not include inter-company transactions.

Message *from the Chairman of the Board*

To our shareholders:

I am pleased to report to you that the Grupo Bimbo´s performance in 2004 was highly satisfactory.

These are the kinds of results we were expecting when we began the far-reaching internal reorganization, and the intensive process of modernizing the Company´s systems around the world.

We know there is still much to do, but we are pleased to see our expectations being met.

Consolidated sales totaled 51.55 billion pesos in the year, 5% more than in the previous fiscal year.

Operating income rose to 4.15 billion pesos, a 19% increase over 2003.

Net earnings, including extraordinary items (mainly tax refunds) totaled 2.57 billion pesos, a 147% rise over 2003.

The increase in sales was generated primarily by the 7% growth in our Bimbo and Barcel divisions. Latin America Division (OLA) improved its revenues by 4% while our operations in the United States were virtually unchanged, with a modest 1% growth in constant peso terms and 3% in nominal dollars.

Bimbo and Barcel accounted for all of the profits. Our U.S. operations substantially narrowed their losses from the preceding year, but still lost a little over 24 million dollars, while our results in Latin American division were a little more than 14 million dollars in the negative.

Operations in the United States are very important to the The Company, accounting for just over 26% of total sales. We are confident that this division can turn in more positive results next year.

The results from Latin America would have been better if not for Brazil, where we are still facing serious difficulties, and 2004 absorbing the restructuring expenses for the Argentine operations. The results from Chile, Peru, Venezuela and the Central American countries were positive.

Although the Latin America Division (OLA) covers 11 countries, it only accounts about 7% of the Company sales. In the short term, however, we are expecting a significant pickup in our results in Argentina, Brazil and Colombia.

The most significant developments in the Company´s operations include:

We focused much of our effort on the opening of Barcel´s Mérida plant and Fripan´s plant in Toluca, and as well as on the expasions of Ricolino´s plant in San Luis Potosí, and of Valencia plant in Costa Rica.

We concluded the announced shutdown of the Dallas plant, the assets acquired from George Weston Ltd., and closed plants in La Paz, Baja California in Mexico; Alajuela in Costa Rica; La Mejor in Guatemala; and Tia Rosa in Ohio.

During the course of the past fiscal year, we negotiated the acquisition of Joyco de México, a leading producer of various candy products like Duvalín, Bocadín and Lunetas.This transaction was completed in May Joyco's sales total about

500 million pesos, and the company was bought for 290 million pesos. We had anticipated, and in fact have already benefited from some important synergies that will allow us to completely recover our investment in the short term and deliver positive results.

As a result of these changes, we are now able to run 71 plants more efficiently, and cover 30,000 distribution routes with our transportation vehicles.

Thanks to our strong operating results, the Company ended the year with substantial cash in treasury. Even after setting aside reserves for future acquisitions and prepaying as much debt as possible, we were able to declare an extraordinary dividend that was very well received by the financial community, and of course, by our shareholders.

One aspect of central importance to the Company is remaining true to our fundamental objective of being a highly productive and people oriented. I am therefore pleased to report that the annual review of all our labor unions´ contracts were amicably concluded with favorable conditions for all parties.

We are also pleased with the progress of "Reforestamos México", an organization we recently helped found that has already completed a number of successful programs. The organization has ambitious plans for the short term that will undoubtedly contribute significantly to environmental protection and preservation in Mexico.

In addition, we continued our traditional practice community involvement by supporting social programs with an emphasis on education and rural development.

Finally, I would like to express my gratitude to our Board Members and shareholders for their continued interest and trust.



Roberto Servitje
Chairman of the Board

Message *from the Chief Executive Officer*

Grupo Bimbo's operating and financial indicators in 2004 showed the early results of our previous years' efforts towards modernization and change.

Over the past few years, the Company has restructured its sales, distribution, information and management systems to make our international operations more streamlined and efficient. Year after year, we have been able to increase our operating margins and profits. We were rewarded in 2004 with the highest level of operating income in the company's history, representing a 19% growth over 2003.

Additionally, expense controls and more efficient distribution through improve channel segmentation have offset gross margin pressure resulting from ongoing increases in raw material prices and cost of sales.

This successful management effort was recognized by the financial markets, as evidenced by the 38% gain in market capitalization this past year.

Grupo Bimbo is a strong cash generator with a solid financial and market position. In the short term, our challenge is to bring our foreign operations to profitability. This means seeking attractive rates of return at Bimbo Bakeries Inc. (BBU) and Latin America Division (OLA).

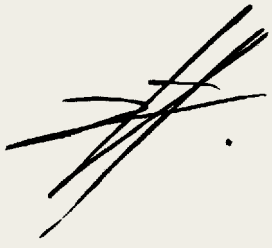
To this end, we substantially narrowed losses in both regions through internal restructuring and expense efficiency efforts in 2004. We also launched new products to meet demonstrated consumer demands and trends in our markets.

Our vision for 2010 is to be the international leader in the baking industry, and one of the best food companies in the world. Our main goal over the next five years is to continue providing tasty, innovative, and healthy products to our customers, available anytime, anywhere. This will generate the primary force for our future growth.

Our expansion strategy also includes the search for profitable businesses that enable us to create unique synergies. The recent acquisition of Joyco de México put us in the number two position in Mexican candy market, and strengthened our distribution capacity in the wholesale channel.

We have tremendous capacity to generate value and take advantage of market opportunities, to the benefit of all our relationships: our customers, clients, suppliers, associates and shareholders. Our firm resolution is to exceed expectations in response to this trust.

In 2005, Grupo Bimbo celebrates its 60th anniversary. We look forward to marking it in the same way we have spent the last six decades: with hard work, optimism, and the ongoing pursuit of growth and profitability.



Daniel Servitje
Chief Executive Officer

Bimbo white bread was reformulated, adding milk, vitamins and minerals to increase its nutritional value.



Tasty

The ongoing search for this attribute has led us to reformulate traditional products and create new ones.

Our products are known for being tasty, a basic quality that makes us a favorite among our customers, and market leaders in the majority of the countries where we operate.

Brands like Bimbo, Lara, Barcel, Marinela, Ricolino, Coronado, Suandy, Wonder and Tia Rosa in Mexico; Tulipan, Plus Vita, Pullman, Ana María and Ideal in Latin America; and Oroweat, Mrs. Baird's, Entenmann's, Thomas' and Boboli in the United States are just some of the names recognized for their quality and flavor.

The ongoing pursuit of this fundamental attribute has led us to revamp our traditional products and create new ones. In 2004, we re-launched the company's flagship product, Bimbo white bread. After many years of using the same recipe, we re-formulated our white bread to meet changing consumer needs—the bread now contains milk and it is fortified with vitamins and minerals to increase its nutritional value. We also introduced a new size package to adapt to different lifestyles and socioeconomic levels.

Our strategy and our philosophy—now as in the past—is based on innovating and re-positioning our product portfolio.

We set a new world record, as noted in the Guinness Book of World Record, for the world's largest and most nutritious sandwich, weighting almost four tons. This event, part of our program to promote the nutritional value of our bread and to increase the understanding of its consumption, was held in Mexico City's historic downtown district and was attended by a crowd of over 100,000 people.



Among our most successful new products were: in Mexico, the multi-grain flaxseed health bar, creating a new category; in the United States: the low-carbohydrate Oroweat line; in Argentina: a light flaxseed oat-and-fiber bread; in Brazil: light flaxseed bread and seven grain light bread; in Venezuela: butter bread; in Colombia: the snack Blandito X1; in Peru: the double flavored Kekito cupcake; and in Chile: oatmeal raisin cookies.

Our aim is to attract a growing number of customers, so we are constantly exploring new opportunities, tastes and needs in order to bring the highest-quality products to the public, while responding to the preferences and eating habits of consumers around the world. These efforts will nurture Grupo Bimbo's growth in the years ahead.



Market trends are moving very rapidly toward healthier lifestyles, and we are driven to innovate and meet the market's needs through creative, high-value offerings.

Innovative

We are a very different company today from who we were four years ago. Now, we are modern and streamlined, more successfully able to face a changing and increasingly demanding and competitive market.

Our internal restructuring, along with the adoption of advanced information and sales systems based on "hand held" devices and an ERP implementation, has allowed us to segment channels more accurately and fine-tune our market intelligent system. The ultimate result is increased efficiency, meaning greater productivity and higher profits.

We now have an improved distribution system, based on channel segmentation. We are making more efficient use of our transportation fleet and of the production capacity of our plants. We create, test and launch products at top speed—for example, we achieved total market penetration with our Silueta and Multigrano Linaza bars in just two weeks.

All of this progress results from our strategy of innovation, intended to clearly differentiate and position ourselves among consumers as their best, most nutritious and healthy choice.

Every year, Grupo Bimbo invests in new product research and development. This investment is distributed over various categories: breads, cookies, cakes, sweet and salted snacks, and candies.

Our markets are becoming increasingly demanding, making it necessary to revolutionize traditional technology to improve our products, for example substantially increasing dietary fiber, reducing trans-fatty acids—a real technological challenge—adding whole grains, introducing new freezing technology, lowering the fat content of our snacks and using new seed ingredients like flaxseed.

We have also created unique new choices, with nutritional features directed at specific markets segments such as the one for light products. In Brazil, for example, our light breads product line have earned special recognition from consumers; and in Mexico, we successfully introduced a new light goat milk caramel (cajeta), yogurt gummy candies, Cero Cero Wonder bread, and health bars.

Another leading initiative was the creation of the Bimbo Pan-American Nutrition and Food Science and Technology Prize, with the intention of forging a closer relationships with research communities in the Americas. The prize is awarded to the most outstanding work in these areas for projects that present viable means to improve nutrition for the world's population.



Healthy

Grupo Bimbo is not only recognized for the excellent quality and tastiness of its products, but also for their nutritional value, as well as the company's concern for the well-being of its consumers.

In 2004, one of our central efforts was to prepare our products in accordance with World Health Organization (WHO) recommendations, which include reducing sugars, fats, trans-fatty acids and sodium in prepared foods.

Some examples in Mexico are light Bimbo bread and low-sodium Barcel chips, while the Oroweat, Light Linseed Oat and Fiber Bread, and Diet Bread brands in the United States lead the new consumer trends. The intent is to offer new food options with higher fiber, vitamin and mineral content, and reduce caloric content in order to improve the nutritional value of our products.

But our concerns go further. Over the year, we substantially increased our consumer orientation programs that encourage healthy lifestyles and promote healthy eating, daily physical activity, sports, and emotional health. As part of this effort, we developed *Nutriconsejos Bimbo*, a series of more than 20 informative TV spots on nutritional advice broadcasted on Mexican television, covering topics such as exercise and weight control, promoting a balanced diet and deflating some popular myths about eating. The goal is to raise people's awareness about the growing problem of obesity, and help promote good consumption habits.

One example is our *Futbolito Bimbo Stars* annual junior soccer tournament, aimed at developing talented young male and female players, and welcoming the participation of school children throughout Mexico and Central America. Through this tournament, children practice sports, learn and have fun, and try to reach a specific goal while engaging in a team activity.

In short, we are strengthening and updating Grupo Bimbo's brands by reformulating and developing new products that increase the nutritional value of our entire portfolio.

We offer consumers better dietary options by increasing fiber, vitamin and mineral content in our products, and reducing sodium; the aim is to improve their nutritional value.





Close to you

New IT systems have brought substantial changes to our internal distribution and sales methods, and today give us highly precise knowledge of consumer needs and cycles relating to our extensive product portfolio. Each Grupo Bimbo sales representative now uses a "hand held" device that contains precise and invaluable information collected on the ERP system, helping them to develop promotion and sales strategies.

One key benefit of the new technology is the appropriate segmentation of channels, a task that makes it easier to serve our markets with greater detail, efficiency and speed.

Among our biggest challenges is to ensure that each client, from wholesalers to retailers, receives the required level of service. With the new resources, we know what products are needed at every moment, and we can supply those products promptly.

With up-to-date technology and a highly trained sales force, we can quickly and accurately track market movements and respond much more dynamically to any changes. We can also gauge the results of our product launches and promotional programs much more swiftly.

Distribution capacity is another of our major strengths. At present, we have more than 29,000 distribution vehicles, and we outsource distribution vehicles in other markets with high demand. We continuously look for new efficiencies and synergies.

These efforts are all guided by our 2010 Bimbo Vision program, one of whose objectives is to be the preferred vendor to all our customers, offering a varied portfolio of products with attractive margins and total solutions for their businesses, and to share with them our decades of experience in developing points of sale.

To reach these objectives, our goal is to provide our customers with their favorite products anytime, anywhere in the countries where we operate.



At present, we have more than 29,000 distribution vehicles and cover more than 30,000 routes in the Americas.

Our sales in 2004 totaled 51.55 billion pesos, 5% higher than in 2003. Both margins and profitability grew in the year: we generated 4.14 billion pesos in operating income, and net earnings of 2.57 billion pesos 19% and 147% more, respectively, than the previous year.

Summary *of Activities*

The results of Bimbo Bakeries USA (BBU) and Latin America Division (OLA) continued to improve on a quarterly basis and closed the year at almost the break-even point. The outlook for these two regions in 2005 is encouraging, following a restructuring of operations that began in 2004, and the development of specific strategies for each market.

Barcel's performance this year was particularly noteworthy. This company attained its goal of continued profitable growth, and in fact for the past two years has been applying its creativity, innovation and competitiveness to emerge from its previous difficulties.



We launched a large number of new products in all our markets in response to consumer trends. All of these were met by broad acceptance from clients and consumers.

Following this highly satisfactory year, Grupo Bimbo's standing as a solid, financially sophisticated company has been reaffirmed. With appropriate debt levels and continued generation of ample cash flow, our financial management is sound. Above all, we have earned a high level of credibility for fulfilling our promises.

The foundation for our future is solid, and we are prepared to capitalize on new market opportunities.

Bimbo, S.A. de C.V.

In 2004, the impact of recent changes to the company's organizational structure began to show in all areas. With more precise market segmentation and higher productivity, we were able to serve more businesses with the same number of sales agents and supervisors.

Consumer habits change. Many people who are short on time and often eat on the go need practical and easy-to-handle choices that are also nutritional. Our ability to identify and quickly respond to this type of market trend led to the launch of new and successful products over the past year. One of the most important of these was a line of health foods with a number of products that performed well above sales projections: Bimbo double fiber and Wonder flaxseed breads, and Bimbo's Bran Frut, Silueta and flaxseed multi-grain bars.



Detailed and up-to-date information from our clients gives us an added advantage, which clearly contributes to our results. Today we know almost instantly how much merchandise is moved at each point of sale, regardless of its size, anywhere in the country, and can take quick action to further reduce distribution costs.

In 2004, we began to reap the benefits of our efforts to restructure and change our approach to sales. In the years ahead, we will make greater use of our technology platform to deepen our knowledge of our markets and consumers. This should lead to more precise decisions and thus to greater profitability.

One of our greatest strengths is the commitment of all of our associates, and the pride they take at belonging to this organization. We maintain impeccable relationships with our labor unions, allowing us to introduce new production models that optimize the use of our production capacity.

Barcel S.A. de C.V.

By bolstering distribution processes and intelligently and creatively programming the launch of new products, Barcel achieved extraordinary growth in snack sales.

Among the most successful products of the year were Takis and Chips, which were among the top sellers in the market. Throughout the year, consumers demanded more healthy products, and we responded by stocking shelves with a new and successful line of low-sodium snacks.

Despite the rising cost of raw materials last year, Barcel did not raise its consumer prices, and instead was able to absorb the increase through improved productivity.

In 2004, we acquired Joyco de México, bringing in high-value brands like Duvalín (chocolate cream), Bocadín (chocolate-covered cookies) and Lunetas (caramel-covered chocolates). It also strengthened Grupo Bimbo's position as the second largest supplier in the Mexican candy market.





Mrs. Baird's "Harvest Selects" line is made with the best selection of whole grains, responding to the needs of consumers.

In other commercial activities, Barcel launched Retas and Ricolino Chocopaleta Payaso, while Coronado introduced a new light goat milk caramel (cajeta) with considerable success.

Among Barcel's plans for 2005 are increasing distribution, revamping its product portfolio, and matching its 2004 growth.



Bimbo Bakeries USA, Inc. (BBU)

BBU underwent a sweeping restructuring intended to simplify operations and restore internal confidence. These actions, together with an active launch and import of Grupo Bimbo's Mexican brands, were positively reflected in lower losses for this subsidiary. At the end of the year, we reached the break-even point in EBITDA terms.

The U.S. market offers great opportunities. The Oroweat brand enjoys excellent positioning and market recognition, and its products meet the growing popularity of whole-grain breads. The low-carbohydrate fad that greatly affected bread consumption in previous years has largely diminished, opening new opportunities for many of our brands. Among the new products launched last year were Boxed Cherry Pies, Boxed Apple Pies, Cinnamon Honey Buns and Snack Bag Chocolate Donuts. At the same time, a number of Mexican products were introduced to the U.S. market: Sweet Rolls, Gansito and low-carbohydrate Tia Rosa tortillas, among others.

We have seen growing demand in the U.S. Hispanic market for products imported from Mexico.

The progress in BBU's results was driven by higher sales volume and a better sales mix, particularly in the central region. Importantly, sales grew despite the elimination of some products as part of the portfolio optimization efforts.

Latin America Division (OLA)

In 2004, we reached record production levels in tons throughout the region.

In Venezuela, Chile and Peru, we had the best performance and highest earnings in the company's history, with the support of strong brand leadership.

Colombia brought in new management and expects to see results from the new team starting in 2005.

In Argentina, the company was restructured in an effort to turn around results there.

In brief, although our Latin American operations ran at a loss last year, we are optimistic about the outlook for 2005 because of the region's more stable economy, operating expenses that have been reduced, and new management in four of the countries where we operate.

New product launches also reached a record level last year. By country, these products included, in Argentina: Light Lino oatmeal and fiber, and the re-launch of Rapiditas snack; in Brazil: Linaza´s bread and Light 7 grains bread; in Venezuela: Holsum sweet rolls and the re-launch of tortillas; in Colombia: Buttermilk bread and Submarino Arequipe; in Perú: Double flavored Kekito cupcake Pyc and Submarinos; and in Chile: Diet bread, Pita bread and oatmeal raisin cookies.

With a very low per capita consumption of packaged bread, the region has tremendous growth potential. At OLA, we are prepared to take advantage of this opportunity through high-quality, high-flavor products, using extensive promotional activity and our strong brand recognition.



For the fifth year in a row, the Mexican Center for Philanthropy (CEMEFI) gave Grupo Bimbo the Socially Responsible Company award. This distinction reaffirms a principle the company has followed since its inception: our acts should have a positive impact on the communities we serve.

Social Responsibility

This philosophy is first applied internally, by creating a stimulating work environment with respect for the dignity of all our associates, and by promoting their personal and professional advancement through fair and productive relations with our labor organizations.

Beyond our own sphere of operations, we also seek to make concrete contributions to society. In 2004, we actively promoted the importance of health and good nutrition through *Nutrinotas*, a nutritional newsletter issued in print and online. At the end of the year, in partnership with Pfizer, we began a campaign to reduce the risk of cardiovascular disease.

We continue to support the development of rural areas and residents through the Mexican Foundation for Rural Development, in educational programs, technology and the promotion of better farming practices. One of these programs was our sponsorship of Crisol, a primary school for disadvantaged children.

In 2002, "Reforestamos México" was born out of an institutional initiative. Its mission is to conserve, protect and increase the nation's forest areas. Three years after its creation, this organization operates with the proceeds from Grupo Bimbo's energy-savings program, and in 2004 it took a great step forward in raising external donations—a token of its value to the community.

To date, "Reforestamos México" has purchased 470 hectares of the Rain Forest, in Queretaro's Sierra Gorda Reserve, in coordination with Grupo Ecologico Sierra Gorda, in order to conserve them for the future. With the National Forest Commission (Conafor), the National Commission of Protected Natural Areas (Conanp) and Fomento Ecológico Banamex, have reforested 1,555 hectares in Izta-Popo National Park, and together with The Cruz Habitat Protection Project,







Reforestation
The company "adopted" a teaching nursery on the slopes of the Ajusco mountain in southern Mexico City, where 20,000 oak trees were sown. Associates and family members of Grupo Bimbo helped to reforest the zone.



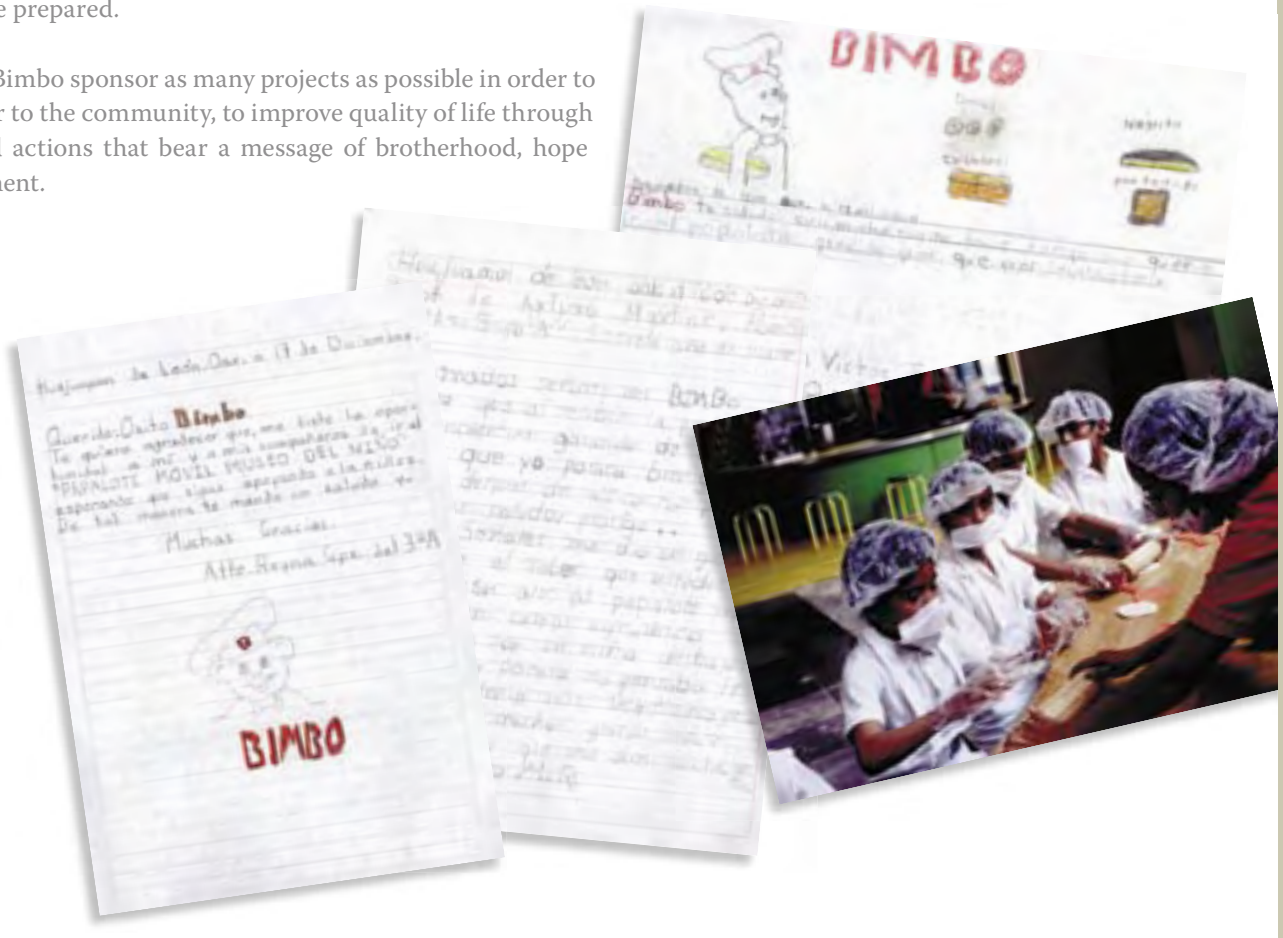
Visits to Papalote Children's Museum
We sponsored visits by 720,000 children to Papalote Children's Museum in Mexico City and to Papalote Móvil in its tour through the states of Guadalajara, Querétaro, Durango, Chihuahua and Veracruz.

have planted 50,000 pine trees and 4,000 oyamel trees in the Mariposa Monarca Reserve. In addition, through the Adopt a Tree campaign, have placed 140,000 adopted trees of various species at 26 Grupo Bimbo plants and at Papalote Children's Museum in Mexico City.

The company made donations during the year to projects like Revive Chapultepec, the José A. Llaguno Tarahumara Foundation, which supports this ethnic group in the state of Chihuahua; the Pro Zona Mazahua endowment, an agricultural training project; Impulsa, an association that promotes entrepreneurs; Papalote Children's Museum; the Nuestro Hogar Provivah-Comex Trust to develop dignified housing; the Foundation for Productive Employment, and an environmental foundation.

Through our plant tour visits, we give visitors the opportunity to observe firsthand the quality of our products and the standards of hygiene by which they are prepared.

We at Grupo Bimbo sponsor as many projects as possible in order to bring us closer to the community, to improve quality of life through programs and actions that bear a message of brotherhood, hope and advancement.



Management Committee *2004*

Daniel Servitje
• Chief Executive Officer, Grupo Bimbo
Joined the Group in 1987. Obtained a Bachelor's Degree in Business Management and an MBA from Stanford University. Member of the Board of Directors of Coca-Cola FEMSA, Grupo Financiero Banamex, and Grocery Manufacturers of America in the United States. 46 years old.

Pablo Elizondo
• President, Bimbo, S. A. de C.V. (Mexico and Central America)
Started working with Grupo Bimbo in 1977. Studied Chemical Engineering. Vice Chairman of the Board of Conmexico. 51 years old.

Reynaldo Reyna
• President, Bimbo Bakeries USA, Inc. (BBU)
With Grupo Bimbo since 2001. Studied Industrial and Systems Engineering and obtained a masters' degree in Operations Research and Finance from Wharton University. 49 years old.

Javier Augusto González
• President, Barcel, S. A. de C.V.
Joined Grupo Bimbo in 1977. Earned a degree in Chemical Engineering and an MBA from Universidad Diego Portales in Chile. 49 years old.

Alberto Díaz
• President, Latin America Division (OLA)
Joined Grupo Bimbo in 1999. Studied Industrial Engineering and obtained a Master's Degree in Management from the University of Miami. 49 years old.

Rosalío Rodríguez
• Corporate President
Joined Grupo Bimbo in 1976. Studied Biochemical Engineering. Member of the Board of International Life Science Institute, Quality Bakeries of America, and the American Institute of Baking. 52 years old.

Guillermo Quiroz
• Chief Financial Officer
With Grupo Bimbo since 1999. Obtained a degree in Actuarial Studies and an MBA from IPADE. Member of the Board of Grupo Altex and Fincomun. 51 years old.

Javier Millán
• Vice President of Human Relations
Joined Grupo Bimbo in 1977. Studied Philosophy and Business Management. Board Member of the Asociación Mexicana en Dirección de Recursos Humanos. 56 years old.

Management Committee *2004*

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• Chief Executive Officer, Grupo Bimbo
Joined the Group in 1987. Obtained a Bachelor's Degree in Business Management and an MBA from Stanford University. Member of the Board of Directors of Coca-Cola FEMSA, Grupo Financiero Banamex, and Grocery Manufacturers of America in the United States. 46 years old.

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Board of Directors

Chairman		
Roberto Servitje	*PR*	
Alternate Chairman	*PR*	
Daniel Servitje		
Proprietary Members		**Alternate Members**
Henry Davis	*I*	Paul Davis
José Antonio Fernández	*R*	Javier Fernández
Agustín Irurita	*I*	José Manuel Irurita
Ricardo Guajardo	*I*	Anthony McCarthy
Jaime Jorba	PR	Jaime Jorba
Mauricio Jorba	*PR*	Luis Jorba
Francisco Laresgoiti	*PR*	Fernando Lerdo de Tejada
José Ignacio Mariscal	*PR*	Oscar Ortiz
María Isabel Mata	*PI*	Javier de Pedro
Victor Milke	*PR*	Victor Milke
Raúl Obregón	*PR*	Juan Manuel Márquez
Roberto Quiroz	PI	Rosa María Mata
Alexis E. Rovzar (Secretary)	I	Vicente Corta
Lorenzo Sendra	PR	Víctor Gavito
Daniel Servitje	PR	Pablo Elizondo
María Elena Servitje	PR	María Lucila Servitje
Roberto Servitje (Chairman)	PR	Jaime Chico
Statutory Examiner	Juan Mauricio Gras	
Alternate Statutory Examiner	Walter Fraschetto	
Secretary	Alexis E. Rovzar	
Alternate Secretary	Vicente Corta	

PR	*Patrimonial Related*
PI	*Patrimonial Independent*
R	*Related*
I	*Independent*

Governance Committees

Audit Committee	Chairman	Henry Davis
	Roberto Quiroz	Francisco Laresgoiti
	Secretary	Víctor Milke
	Guillermo Sánchez	Alexis E. Rovzar
Evaluation and Compensation Committee	Chairman	Henry Davis
	Roberto Servitje	José Antonio Fernández
	Secretary	Raúl Obregón
	Javier Millán	Daniel Servitje
Finance and Planning Committee	Chairman	Ricardo Guajardo
	José Ignacio Mariscal	Mauricio Jorba
	Secretary	Raúl Obregón
	Guillermo Quiroz	Lorenzo Sendra
		Daniel Servitje

Board Members´ Profiles

Roberto Servitje
- Chairman of the Board of Grupo Bimbo
- Board member of:
  Fomento Económico Mexicano (FEMSA)
  Daimler-Chrysler de México
  Grupo Altex
  Escuela Bancaria y Comercial
  Memorial Hermann International Advisory Board (Houston, Texas)

Henry Davis
- Chairman of the Board of Promotora DAC, S.A.
- Chairman of the Board of:
  Probelco, S.A.
  Desarrollo Banderas, S.A. de C.V.
- Board member of:
  Grupo Financiero IXE, S.A. de C.V.
- Founding Chairman of:
  Asociación Nacional de Tiendas de Autoservicio y Departamentales (ANTAD)
  Mexicana de Estándares para el Comercio Electrónico, A.C. (AMECE).

José Antonio Fernández
- Chairman of the Board and Chief Executive Officer of Grupo FEMSA
- Chairman of the Board of Coca-Cola FEMSA, S.A. de C.V.
- Chairman of the Board of the Woodrow Wilson Center Mexico Institute
- Vice Chairman of the Board of the Instituto Tecnológico y de Estudios Superiores de Monterrey (ITESM)
- Member of the Board of:
  Grupo Financiero BBVA Bancomer
  Industrias Peñoles
  Grupo Industrial Saltillo

Ricardo Guajardo
- Board member of:
  Instituto Tecnológico y de Estudios Superiores de Monterrey (ITESM)
  Fomento Económico Mexicano (FEMSA) and Coca-Cola FEMSA, S.A. de C.V.
  Grupo Financiero BBVA Bancomer
  Grupo Industrial Alfa
  El Puerto de Liverpool
  Grupo Aeroportuario del Sureste (ASUR)
  The International Capital Markets Advisory Committee of the Federal Reserve Bank of New York
  Grupo CYDSA

Agustín Irurita
- Chairman of the Board and Chief Executive Officer of Grupado, S.A. de C.V.
- Board member of:
  Grupo Financiero Scotiabank Inverlat, S.A.
  Grupo Comercial Chedraui, S.A. de C.V.
  Northwestern University Transportation Center

Jaime Jorba
- Chairman of the Board of:
  Frialsa, S.A. de C.V.
  Promotora de Condominios Residenciales

Mauricio Jorba
- Member of the Board of VIDAX

Francisco Laresgoiti
- Chief Executive Officer of Grupo Laresgoiti
- Member of the Board of Fundación Mexicana para el Desarrollo Rural, A.C.

José Ignacio Mariscal
- Chief Executive Officer of Marhnos
- Chairman of the IMDOSOC
- Vice Chairman of:
  Fincomún- Servicios Financieros Comunitarios
  Fundación Juan Diego
- Board member of:
  Sociedad de Inversión de Capital de Posadas de México
  Grupo Calidra
  Asociación Mexicana de Promoción y Cultura Social
  Uniapac International
  Coparmex Executive Committee

Maria Isabel Mata
- Member of the Board of Tepeyac, A.C.

Victor Milke
- Chief Executive Officer of Corporación Premium, S.C.
- Board member of:
  Nacional Financiera, Mexico City
  Congelación y Almacenaje, S.A.
  Frialsa, S.A. de C.V.

Raúl Obregón
- Managing Partner of Alianzas, Estrategia y Gobierno Corporativo S.C.
- Board member of:
  Industrias Peñoles, S.A. de C.V.
  Crédito Afianzador
  Grupo Palacio de Hierro, S.A. de C.V.
  Valores Mexicanos Casa de Bolsa
  Arrendadora Valmex, S.A. de C.V.
  Grupo Nacional Provincial, S.A.
  GNP Pensiones, S.A. de C.V.
  Médica Integral GNP, S.A. de C.V.
  Aseguradora Porvenir GNP, S.A. de C.V.
  Envases y Laminados S.A. de C.V.

Roberto Quiroz
- President and Chief Executive Officer of Grupo Industrial Trébol
- Chairman of the Board of Esmaltes y Colorantes Cover
- Member of the Board of Tepeyac, A.C.

Alexis E. Rovzar
- Managing Partner, of White & Case, LLP Lawfirm
- Vice Chairman of the Center on Philantropy Indiana University
- Board member of:
  Coca-Cola Femsa, S.A. de C.V.
  Ray & Berndtson de México
  Grupo COMEX
  Grupo ACIR
  COMSA
  Deutsche Bank México, S.A.

Lorenzo Sendra
- Chairman of the Board of Proarce, S.A. de C.V.
- Board member of:
  Ronald McDonald Foundation
  Fomento de Nutrición y Salud
  Fundación Mexicana para el Desarrollo Rural, A.C.
  Financiera Promotora para el Desarrollo Rural (FIMEDER)

Daniel Servitje
- Chief Executive Officer of Grupo Bimbo
- Board member of:
  Coca-Cola FEMSA S.A de C.V.
  Grupo Financiero Banamex, S.A. de C.V. and Banco Nacional de México, S.A.
  Grocery Manufacturers of America (U.S.A.)

María Elena Servitje
- Chief Executive Officer of Papalote Museo del Niño
- Chairman of the Instituto Nacional de Pediatría Trust
- Member of the Pro-Bosque de Chapultepec Endowment
- Chairman of the fund-raising campaign "Revive Chapultepec"

Juan Mauricio Gras
- Partner of Deloitte & Touche, 1979
- Quality Control Manager of Deloitte & Touche
- Statutory Auditor, Compañía Industrial Parras

Advisory *Board 2004*

BBU

Ambassador Jeffrey Davidow
President, Institute of the Americas
(Former U.S. Ambassador to Mexico)
La Jolla, CA

Henry Davis
Chief Executive Officer, Promotora DAC, S.A. de C.V.
Mexico City

Bernard Kastory
Professor, New York University
(Former Executive Vice President of Bestfoods)
Saratoga Springs, NY

José Ignacio Mariscal
Chief Executive Officer, Marhnos, S.A. de C.V.
Mexico City

Robert C. Nakasone
Chief Executive Officer, NAK Enterprises, L.L.C.
(Former Executive Vice President of Jewel,
and CEO of Toys R Us, Inc.)
Santa Barbara, CA

Betsy Sanders
Chief Executive Officer, The Sanders Partnership
Sutter Creek, CA

Roberto Servitje
Chairman of the Board, Grupo Bimbo

Daniel Servijte
Chief Executive Officer, Grupo Bimbo

Reynaldo Reyna
President, Bimbo Bakeries USA, Inc.

Rosalío Rodríguez
Corporate President, Grupo Bimbo

Guillermo Quiroz
Chief Financial Officer, Grupo Bimbo

OLA

João Alves de Queiroz
Chairman of the Board of Monte Cristalina, S.A.
São Paulo, Brazil

Carlos Mario Giraldo
Chairman of the Board of Compañía de Galletas Noel, S.A.
Medellin, Colombia

Victor Milke
Chief Executive Officer of Corporación Premium, S.C.
Mexico City

Luis Pagani
Chairman of the Board of Grupo Arcor
Buenos Aires, Argentina

Leslie Pierce
General Manager of Alicorp, S.A.
Lima, Peru

Lorenzo Sendra
Chairman of the Board of Proarce, S.A. de C.V.
Mexico City

Eduardo Tarajano
Private Investor
Key Biscayne, Florida

Roberto Servitje
Chairman of the Board, Grupo Bimbo

Daniel Servijte
Chief Executive Officer, Grupo Bimbo

Alberto Díaz
President, Latin America Division (OLA)

Rosalío Rodríguez
Corporate President, Grupo Bimbo

Guillermo Quiroz
Chief Financial Officer, Grupo Bimbo

Letter *from the Chairman of the* Audit Committee

April 8, 2005
To the Board of Directors of Grupo Bimbo, S.A. de C.V.

In accordance with Article 14 of the Securities Market Act and on behalf of the Auditing Committee, the following is a report of the activities we conducted with respect to the fiscal year ended December 31, 2004. In performing these tasks, we followed the Internal Regulations of the Committee and the Code of Best Corporate Practices. The company's statutory auditor was called to attend each of our meetings, under the terms of that Law, and was present at all of these meetings.

In the performance of our fundamental duties regarding the effectiveness of internal control guidelines and the accuracy and reliability of the financial information prepared by management to be used by the Board of Directors, shareholders and others, we carried out the following significant activities:

1. With the support of Internal Auditors, we reviewed the general guidelines for internal control, and followed up on the implementation of our suggestions.

2. We evaluated the independence of the Internal Auditors' functions and approved that office's work program and budget for fiscal year 2004.

3. We analyzed the regular reports submitted by the Internal Auditors regarding the progress of the approved work program and any discrepancies from it, as well as the observations and suggestions offered and their prompt implementation.

4. We recommended the hiring of external auditors for the company and its subsidiaries. To put this recommendation into effect, we investigated the auditors' independence and analyzed with them their focus and work program, as well as their coordination with the Internal Auditing Department. In addition, we approved the fees paid by management for the additional services provided by the external auditors.

5. We approved the appointment of the partner in the external auditing firm who will be responsible for signing the auditors' opinion of the company's financial statements.

6. We received the conclusions of the external auditors at the appropriate time and recommended that the Board of Directors approve the annual financial statements. Throughout this effort, we remained in constant communication with the external auditors to remain informed of the progress of their work, and the observations they offered at the conclusion of the audit.

7. We evaluated the external auditors' report on the matter of Social Security contributions.

8. We evaluated the existing controls established by the company to ensure compliance with the various legal provisions applicable to it.

9. We obtained information on the status of lawsuits, legal actions and contingencies of all types, both for and against the company.

10. We evaluated the structure of the powers granted within the Group, and the procedures followed to control and implement them.

11. We followed up on the preparation and application of an Accounting Policies Manual for operations in Mexico.

12. We reviewed the implementation and application of the Code of Ethics.

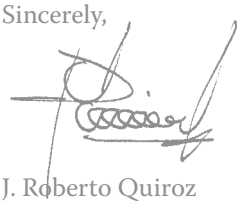
13. The Committee ensured that the interim financial information prepared by management to be presented to shareholders and the general public was prepared with the same policies, criteria and practices by which the annual information is prepared. As a result, we recommended that the Board of Directors authorize its publication.

14. We evaluated operations between the company, its shareholders, and parties with equity or family ties to it.

15. We analyzed the report on environmental compliance.

All of these efforts have been duly documented in the minutes of each meeting, which were prepared, reviewed and approved on a timely basis by the Committee members.

Sincerely,



J. Roberto Quiroz
Chairman of the Audit Committee

Management's Discussion *and* Analysis *of Results*

for the years ended December 31, 2004 and 2003

All figures herein are expressed in millions of constant Mexican pesos as of December 31, 2004, unless stated otherwise, and have been prepared according to Generally Accepted Accounting Principles in Mexico; all percentage changes are expressed in real terms.

Grupo Bimbo reported solid improvements in 2004. A 5.0% rise in net sales was driven by strong top line growth in Mexico, where net sales outpaced GDP and retail sales growth, and to a lesser degree, by increases in Chile, Peru and Venezuela. Operating income grew 18.6% as a result of a significant reduction in operating expenses that more than offset higher raw material, energy and packaging costs. In addition, important operating improvements in the United States and Latin America substantially lowered operating losses in those regions. Net income rose 146.7% as a result of healthier results on the operating level, lower financing cost, and three extraordinary income items.

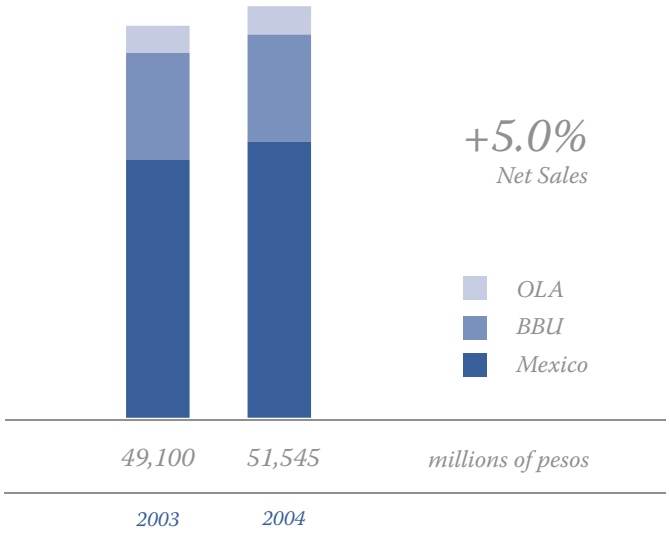
Net Sales

Total 2004 net sales of Ps. 51,545 increased 5.0% over 2003, driven by favorable results in all the Company's operating regions.

In Mexico, net sales represented 67.0% of the Company´s total and rose 7.4% year over year, compared to the 4.8% growth in retail sales as reported by INEGI (Instituto Nacional de Estadística, Geografía e Informática). Excluding the benefit of confectionary operations the Company purchased in May 2004, sales growth for the year would have been 6.6%. Increases reflected growth primarily in the cookies, sweet and salted snacks, cereal and chips categories throughout the year, as well as in bread in the second half of the year following a strong marketing campaign.

Higher sales were driven by i) successful introduction of new products and line extensions that reflected evolving consumer trends and preferences; ii) increased marketing and advertising to support core brands and new products; iii) over 195,000 new clients derived from channel segmentation efforts and distribution route specialization; and iv) integration of the acquired confectionary operations.

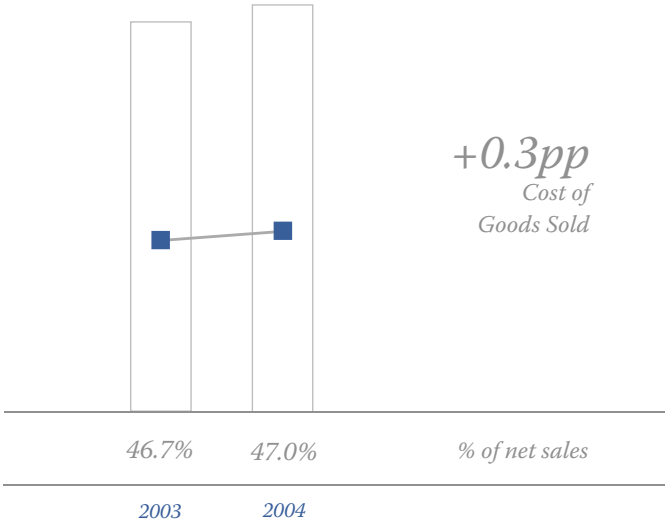
In the United States, net sales increased 0.7% on an annual basis, and represented 26.1% of the Company's total. Growth in U.S. dollar terms was 3.2%, despite the elimination of approximately 15% of SKUs in the year as part of the Company's ongoing portfolio optimization efforts. New product launches, particularly health and nutrition oriented, helped propel this growth, along with increased penetration of imported Mexican branded products, higher average sales prices, and newly opened distribution routes, particularly in the eastern region.



Net sales in Latin America represented 6.9% of the Company's total in 2004, and grew 4.4% in the year. Broad economic recovery and the Company's aggressive customer-focused efforts in the countries where it operates helped improve sales volumes, particularly in Chile, Peru and Venezuela. Gains from new product launches and marketing and promotional efforts more than offset lower export volumes in Argentina and a highly competitive pricing environment in Brazil.

Cost of Goods Sold

The cost of goods sold represented 47.0% of net sales, an increase of 30 basis points from 2003. Contributing to this increase were higher raw material, energy and packaging costs in the international commodity market, and the depreciation of the peso against the U.S. dollar. In the United States, these factors were offset by higher capacity utilization that absorbed fixed costs, a better product mix and optimized portfolio, and lower labor costs. These factors also counteracted higher input costs in Latin America, as did centralized raw materials purchasing.

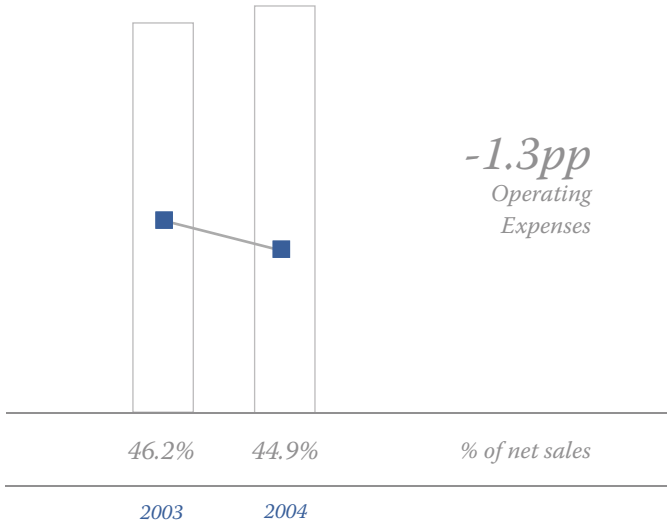


Operating Expenses

Operating expenses comprised 44.9% of net sales, a decrease of 1.3 percentage points when compared to 2003. Higher marketing and advertising expenses in Mexico and Latin America, and the 2,459 new distribution routes opened in 2004 were more than offset by the ongoing Company-wide benefits derived from the new commercial and technology platforms.

Higher sales volumes and a better product mix across all markets helped absorb distribution, sales and administrative expenses. In Mexico and Latin America, this line item also declined as a result of channel segmentation and consolidation of transportation and distribution centers.

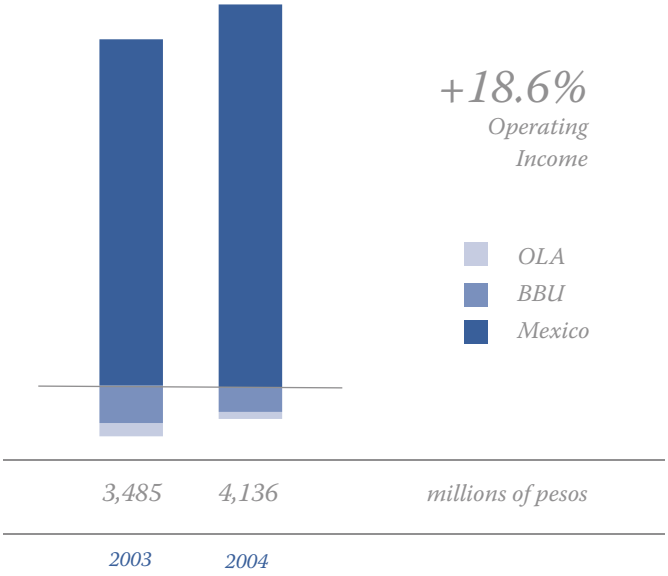
Lower administrative expenses were the combined result of fewer personnel and higher absorption of fixed expenses, as well as the comparative impact of expenses allocated to the Company's transformation projects in 2003 but not in 2004. All of the above more than offset the non-recurring severance expenses associated with the restructuring in Argentina, and the US $ 0.9 million impairment of the Entenmann's brand in the U.S.



Operating Income

On a consolidated basis, operating income grew 18.6% in the year to Ps. 4,136, corresponding to an 8.0% operating margin, 90 basis points higher than in 2003. Higher net sales and decline in operating expenses on a proportional basis more than offset the higher cost of goods sold, non-recurring expenses in Argentina and the U.S.

On a regional basis, Mexico registered a 10.3% rise in operating profit and a 40 basis point increase in operating margin, reaching 12.6% of its net sales. Continual improvement in operating performance over the course of the year helped reduce operating losses in the United States and Latin America by 33.5% and 46.8% respectively. Both regions continue nearing the breakeven point, with the operating margin in the United States reaching -2.2%, and in Latin America -2.4%.



Integral Cost of Financing

The integral cost of financing was Ps. 460, a 45.0% decrease from the 2003 figure. This reduction reflects the combined impact of lower net interest payments, significantly lower exchange losses, and a slightly reduced monetary loss.

The Company's lower consolidated debt level resulting from certain prepayments and amortizations in 2003 reduced net interest paid in 2004 by 24.8%. At the same time, a decline in dollar-denominated debt, lowered exchange losses by 72.0% in the year.

Other Income and Expenses

The Company registered other pre-tax expenses of Ps. 437, comprised primarily of i) Ps. 229 in goodwill amortization for brands acquired in the U.S. and Brazil; ii) Ps. 181 in anticipated goodwill amortization for acquired companies that were fully integrated into operations by year-end 2004, iii) Ps. 48 for the write-off of certain distribution routes in the western U.S. of our operations; and iv) Ps. 118 related to the disposal of certain obsolete assets.

Taxes

The Company paid income taxes of Ps. 1,207 in 2004. This was the combined effect of i) the recognition of previously deferred taxes calculated at higher rates than the new corporate income tax rate effective January 1, 2005; and ii) the benefit of fiscal losses for which deferred taxes had not been determined.

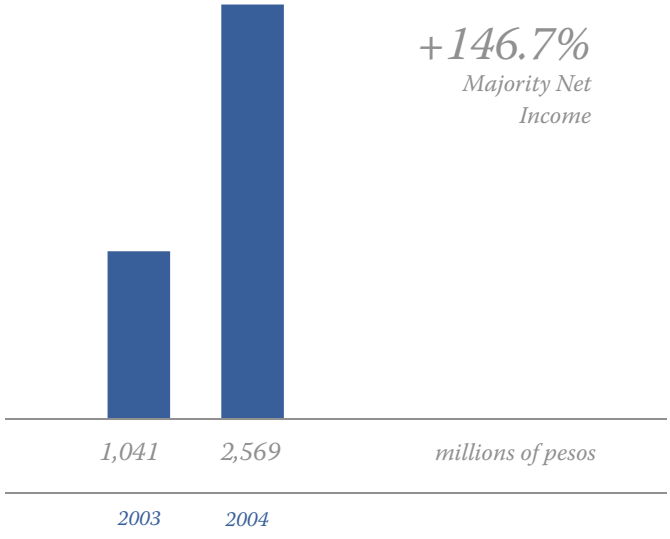
Extraordinary Items

The Company booked extraordinary income of Ps. 542 in 2004 comprised of i) the restatement of taxes and interest recovered from fiscal years 2001 and 2002; and ii) the 1999 taxes to be recovered and its corresponding restatement; both related to the favorable fiscal rulings announced on November 2003 and August 2004, respectively.

Majority Net Income

Majority net income rose 146.7% to Ps. 2,569 in 2004, reflecting stronger operating results, lower integral cost of financing, and to a lesser extent, changes in Mexican tax rates effective January 1, 2005. Net margin represented 5.0% of net sales, 2.9 percentage points higher than in 2003.

Excluding extraordinary income items recorded in both years, as well as the effect of change in accounting principles in 2003, majority net income would have risen 61.5% to Ps. 2,027.

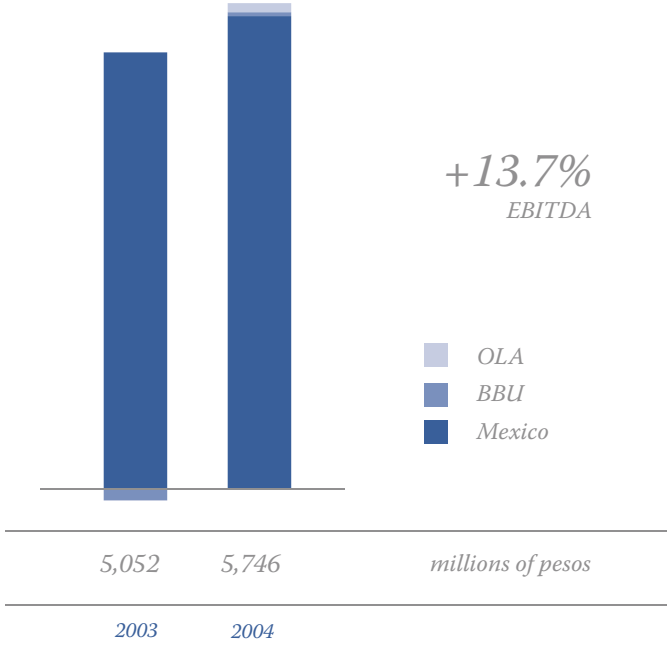


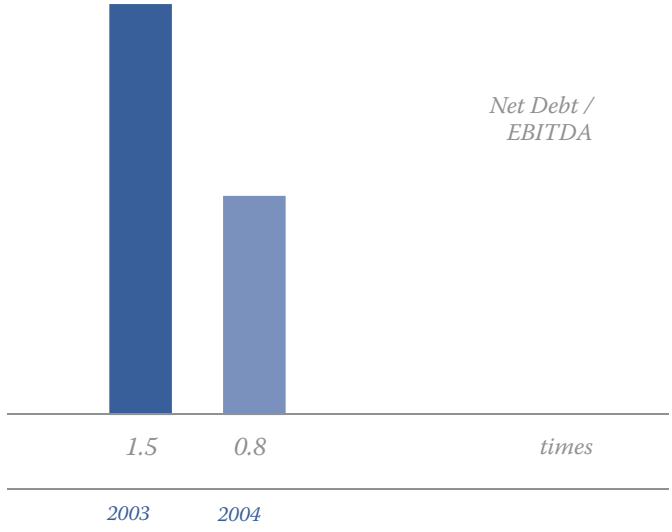
Earnings Before Interest, Taxes, Depreciation and Amortization (EBITDA)

EBITDA performance closely tracked improvement in the Company's operating results, rising 13.7% in 2004 to Ps. 5,746. EBITDA margin of 11.1% was 90 basis points higher than 2003 figure.

Financial Structure

As a result of the improvement in operating results that led to a higher cash and equivalents position, the Company's net debt totaled Ps. 4,730 at year-end 2004, a 37.6% reduction from the previous year. This decline is significant considering that in November the Company paid an extraordinary dividend of Ps. 707. The ratio of net debt to equity was 0.27 times in 2004, compared to 0.46 in 2003.





U.S. operations were EBITDA positive for the first time since the transformation process was initiated, accumulating Ps. 46 in EBITDA for the year, equivalent to an EBITDA margin of 0.3%. Latin America significantly improved its results, with EBITDA growing from Ps. 11 in 2003, to Ps. 106 in the current year period, which implied a 3.0% margin.

Highlights from the Year

- On November 8, 2004, the Company announced an extraordinary dividend of Ps. 60 cents per share, increasing the total 2004 dividend payment to Ps. 84 cents. It was only the second such dividend that Grupo Bimbo has paid since becoming a public company in 1980.

- On August 27, 2004, Grupo Bimbo announced a favorable first instance judicial resolution, specifically regarding the application of Article 25, fraction XVIII, of the Mexican Income Tax Law, and Articles 31 and 32 of the aforementioned law, applicable in 1999, regarding the determination of losses incurred in the sale of shares.

- On May 17, 2004, a favorable judicial decision was issued on the Company's behalf pertaining to the application of certain sections and articles of the Mexican Income Tax Law as they refer to the calculation of losses derived from the sale of shares. Following an unsuccessful appeal by Grupo Bimbo's counterpart, the Company received a favorable resolution from Mexico's Supreme Court of Justice on August 26, 2004, and expected to register a tax benefit of Ps. 240.

- On March 18, 2004, the Company acquired confectioners Joyco de México, S.A. de C.V., Alimentos Duval, S.A. de C.V. and Lolimen, S.A. de C.V., from a group of Mexican investors and the Spanish company, Corporación Agrolimen, S.A., with a cash investment of Ps. 290. The transaction, which closed on May 13, 2004, included two production facilities and the rights to the Duvalín, Bocadín and Lunetas brands.

- On March 16, 2004, Grupo Bimbo opened its new frozen bread plant, Fripan, in Lerma, in the state of Mexico, with an investment of US$ 11.5 million. Fripan offers frozen and precooked products to a new and sophisticated market niche. Rich's Products Corporation, a leading U.S.-based global producer of dough and frozen, pre-cooked bread, is the Company's co-investor in Fripan.

Independent Auditors' reports

Grupo Bimbo, S. A. de C. V. and Subsidiaries

To the Board of Directors and Stockholders of Grupo Bimbo, S. A. de C. V.

We have audited the accompanying consolidated balance sheets of Grupo Bimbo, S. A. de C. V. and subsidiaries (the "Company") as of December 31, 2004 and 2003, and the related consolidated statements of income, changes in stockholders' equity and changes in financial position for the years then ended, all expressed in millions of Mexican pesos of purchasing power as of December 31, 2004. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits. We did not audit the financial statements of certain consolidated subsidiaries, which statements reflect total assets constituting 46% and 38%, respectively, of consolidated total assets as of December 31, 2004 and 2003, and net sales constituting 31% and 32%, respectively, of consolidated net sales for the years then ended. Those statements were audited by other auditors, whose reports have been furnished to us, and our opinion, insofar as it relates to the amounts included for those entities, is based solely on the reports of such other auditors.

We conducted our audits in accordance with auditing standards generally accepted in Mexico. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement and that they are prepared in accordance with accounting principles generally accepted in Mexico. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits and the reports of the other auditors provide a reasonable basis for our opinion.

As discussed in Note 3 to financial statements, as of January 1, 2003, the Company early adopted the provisions of Bulletin C-15, "Impairment in the value of long-lived assets and their disposal" ("C-15"). During fiscal 2003, the main effects derived from applying this principle were a write-off of the value of goodwill and trademarks, which were reduced by $2,186,435,054; a reduction of the deferred income tax liability of $257,277,910 and a charge to results of the year of $1,929,157,144, which is shown under the heading of "Cumulative effect of change in accounting principle", as the current value of estimated subsequent net cash flows at January 1, 2003, is less than their book value at that date.

In our opinion, based on our audits and the reports of the other auditors, such consolidated financial statements present fairly, in all material respects, the financial position of Grupo Bimbo, S. A. de C. V. and subsidiaries as of December 31, 2004 and 2003, and the results of its operations, changes in its stockholders' equity and changes in its financial position for the years then ended in conformity with accounting principles generally accepted in Mexico.

The accompanying consolidated financial statements have been translated into English for the convenience of readers in the United States of America.

Galaz, Yamazaki, Ruiz Urquiza, S. C.
Member of Deloitte Touche Tohmatsu



C. P. A. Javier Montero Donatto

March 7, 2005

Statutory examiner's *report*

Grupo Bimbo, S. A. de C. V. and Subsidiaries

To the Stockholders of Grupo Bimbo, S. A. de C. V.

In my role as Examiner and in compliance with Article 166 of the Mexican General Corporate Law and the corporate bylaws of Grupo Bimbo, S. A. de C. V., I submit my report regarding the truthfulness, sufficiency and fairness of the consolidated financial information presented to you by the Board of Directors relative to the Company's operations for the year ended December 31, 2004.

I have attended the Stockholders' and Board of Directors' Meetings to which I was summoned and have obtained from the Company's directors and management all of the information relative to the operations, documents and records that I deemed necessary to examine. My review was conducted in accordance with auditing standards generally accepted in Mexico.

In my opinion, the accounting and reporting policies and criteria followed by the Company and considered by management to prepare the consolidated financial information presented at this meeting are adequate and sufficient and were applied on a basis consistent with that of the preceding year. Therefore, such consolidated financial information presented by, management truthfully, sufficiently and fairly presents the financial position of Grupo Bimbo, S. A. de C. V. at December 31, 2004, and the results of its operations, changes in its stockholders' equity and changes in its financial position for the year then ended in conformity with accounting principles generally accepted in Mexico.



C. P. A. Juan Mauricio Gras Gas

Examiner

March 7, 2005

Consolidated Balance sheets

Grupo Bimbo, S. A. de C. V. and Subsidiaries

As of December 31, 2004 and 2003
(In millions of Mexican pesos of purchasing power as of December 31, 2004)

	2004	2003
Assets		
Current assets:		
Cash and temporary investments	$ 3,774	$ 1,848
Accounts and notes receivable, net	3,638	4,568
Inventories, net	1,217	1,058
Prepaid expenses	150	99
Total current assets	8,779	7,573
Property, plant and equipment, net	16,817	16,727
Investment in shares of associates	585	565
Goodwill, net	3,118	3,968
Trademarks and usage rights, net	2,420	2,682
Deferred income taxes	1,723	1,424
Other assets, net	462	588
Total	$ 33,904	$ 33,527
Liabilities and stockholders' equity		
Current liabilities:		
Short-term loans from financial institutions	$ 194	$ 723
Trade accounts payable	2,815	2,034
Other accounts payable and accrued liabilities	2,175	2,318
Accounts payable to related parties	377	312
Employee statutory profit sharing payable	258	299
Total current liabilities	5,819	5,686
Long-term debt	8,310	8,701
Employee retirement benefits and workers' compensation	760	782
Deferred employee statutory profit sharing	74	-
Deferred income taxes	1,580	1,779
Total liabilities	16,543	16,948
Stockholders' equity:		
Capital stock	7,178	7,178
Reserve for repurchase of shares	681	681
Retained earnings	16,386	14,816
Other comprehensive income	(5,175)	(4,376)
Initial cumulative effect of deferred income taxes	(2,133)	(2,133)
Majority stockholders' equity	16,937	16,166
Minority interest in consolidated subsidiaries	424	413
Total stockholders' equity	17,361	16,579
Total	$ 33,904	$ 33,527

See accompanying notes to consolidated financial statements.

Consolidated Statements of income

Grupo Bimbo, S. A. de C. V. and Subsidiaries

For the years ended December 31, 2004 and 2003
(In millions of Mexican pesos of purchasing power as of December 31, 2004,
except for earnings per share expressed in Mexican pesos)

	2004	2003
Net sales	$ 51,545	$ 49,100
Cost of sales	24,247	22,925
Gross profit	27,298	26,175
Operating expenses:		
Distribution and selling expenses	19,486	18,758
Administrative expenses	3,676	3,932
	23,162	22,690
Income from operations	4,136	3,485
Net comprehensive financing-cost:		
Interest expense, net	705	937
Exchange loss, net	75	268
Monetary position gain	(320)	(368)
	460	837
Other expenses, net	437	213
Income before income taxes, employee statutory profit sharing and equity in results of associated companies	3,239	2,435
Income taxes	866	868
Employee statutory profit sharing	341	305
Equity in results of associated companies	(56)	(30)
Income before extraordinary gain and cumulative effect of change in accounting principle	2,088	1,292
Extraordinary gain	542	1,689
Cumulative effect of change in accounting principle, net	-	(1,903)
Consolidated net income for the year	$ 2,630	$ 1,078
Net income of majority stockholder	$ 2,569	$ 1,041
Net income of minority stockholders	$ 61	$ 37
Earnings per share:		
Income before extraordinary gain and cumulative effect of change in accounting principle	$ 1.78	$ 1.09
Extraordinary gain	$ 0.46	$ 1.44
Cumulative effect of change in accounting principle, net	$ -	$ 1.62
Basic earnings per common share	$ 2.18	$ 0.88
Weighted average number of shares outstanding (000's)	1,175,800	1,175,800

See accompanying notes to consolidated financial statements.

Consolidated statements of Changes *in stockholders' equity*

Grupo Bimbo, S. A. de C. V. and Subsidiaries

For the years ended December 31, 2004 and 2003
(In millions of Mexican pesos of purchasing power as of December 31, 2004)

	Capital stock	Reserve for repurchase of shares
Balances, January 1, 2003	$ 7,178	$ 681
Dividends declared	-	-
Acquisition of minority interest	-	-
Balances before comprehensive income	7,178	681
Consolidated net income for the year	-	-
Restatement effects for the year	-	-
Adjustment to additional pension liability	-	-
Translation effects for the year	-	-
Comprehensive income	-	-
Balances, December 31, 2003	7,178	681
Dividends declared	-	-
Acquisition of minority interest	-	-
Balances before comprehensive income	7,178	681
Consolidated net income for the year	-	-
Restatement effects for the year	-	-
Adjustment to additional pension liability	-	-
Translation effects for the year	-	-
Comprehensive income	-	-
Balances, December 31, 2004	$ 7,178	$ 681

See accompanying notes to consolidated financial statements.

Retained Earnings	Other Comprehensive Income	Initial cumulative effect of deferred income taxes	Majority stockholder's equity	Minority interest in consolidated subsidiaries	Total stockholder's equity
$ 14,041	$ (4,429)	$ (2,133)	$ 15,338	$ 392	$ 15,730
(266)	-	-	(266)	-	(266)
-	-	-	-	(13)	(13)
13,775	(4,429)	(2,133)	15,072	379	15,451
1,041	-	-	1,041	37	1,078
-	142	-	142	(3)	139
-	58	-	58	-	58
-	(147)	-	(147)	-	(147)
1,041	53	-	1,094	34	1,128
14,816	(4,376)	(2,133)	16,166	413	16,579
(999)	-	-	(999)	-	(999)
-	-	-	-	(28)	(28)
13,817	(4,376)	(2,133)	15,167	385	15,552
2,569	-	-	2,569	61	2,630
-	(350)	-	(350)	-	(350)
-	(122)	-	(122)	-	(122)
-	(327)	-	(327)	(22)	(349)
2,569	(799)	-	1,770	39	1,809
$ 16,386	$ (5,175)	$ (2,133)	$ 16,937	$ 424	$ 17,361

Consolidated statements of Changes *in financial position*

Grupo Bimbo, S. A. de C. V. and Subsidiaries

For the years ended December 31, 2004 and 2003
(In millions of Mexican pesos of purchasing power as of December 31, 2004)

	2004	2003
Operating activities:		
Income before extraordinary gain and cumulative effect of change in accounting principle	$ 2,088	$ 1,292
Items that did not require (generate) resources-		
Depreciation and amortization	1,610	1,567
Amortization of goodwill	410	299
Equity in results of associated companies	(56)	(30)
Deferred income taxes and employee statutory profit sharing	(427)	75
	3,625	3,203
Changes in current assets and liabilities:		
(Increase) decrease in:		
Accounts and notes receivable	1,472	576
Inventories	(99)	(193)
Prepaid expenses	(122)	56
Employee retirement benefits and workers' compensation	(22)	306
Increase (decrease) in:		
Trade accounts payable	1,024	36
Other accounts payable, accrued liabilities and employee statutory profit sharing payable	(184)	(252)
Accounts payable to related parties	(178)	(2)
	1,891	527
Net resources generated by operating activities	5,516	3,730
Financing activities:		
Borrowings from financial institutions	(529)	47
Long-term debt	(391)	(3,759)
Dividends declared	(999)	(266)
Decrease in minority interest	-	(13)
Net resources used in financing activities	(1,919)	(3,991)
Investing activities:		
Decrease in investment in associated companies	36	282
Acquisition of property, plant and equipment, net of retirements	(1,683)	(713)
Other assets	(24)	(76)
Net resources used in investing activities	(1,671)	(507)
Cash and temporary investments:		
Increase (decrease)	1,926	(768)
Balance at beginning of year	1,848	2,616
Balance at end of year	$ 3,774	$ 1,848

See accompanying notes to consolidated financial statements.

Notes *to consolidated financial statements*

Grupo Bimbo, S. A. de C. V. and Subsidiaries

For the years ended December 31, 2004 and 2003
(In millions of Mexican pesos of purchasing power as of December 31, 2004)

1. The Company

Grupo Bimbo, S. A. de C. V. and subsidiaries ("Bimbo" or the "Company") are engaged in the manufacture, distribution and sale of bread, cookies, cakes, candies, chocolates, snacks, tortillas and processed foods.

The Company operates in the following geographical areas: Mexico, the United States of America ("USA"), and Central and South America ("OLA").

2. Basis of presentation

a. **Consolidation of financial statements -** The consolidated financial statements include those of Grupo Bimbo, S. A. de C. V. and its subsidiaries, whose more significant stockholdings are shown below:

Subsidiary	Ownership Percentage	Principal business
Bimbo, S. A. de C. V.	97%	Bakery
Barcel, S. A. de C. V.	97%	Candies and snacks
BBU, Inc. (USA)	100%	Bakery
Bimbo Argentina, S. A.	100%	Bakery
Ideal, S. A. (Chile)	100%	Bakery
Bimbo do Brasil, Ltda.	100%	Bakery

All significant intercompany balances and transactions have been eliminated in these consolidated financial statements.

The investment in associated companies is accounted for using the equity method.

During 2004 and 2003, net sales of Bimbo, S. A. de C. V. and Barcel, S. A. de C. V. in Mexico represented approximately 64% and 63%, respectively, of consolidated net sales.

Acquisitions and divestitures– On May 13, 2004, the Company acquired 99.99% of the shares of Joyco de México, S. A. de C. V., Alimentos Duval, S. A. de C. V. and Lolimen, S. A. de C. V., (jointly named "Joyco"). The Companies are engaged in the production and sale of candies in Mexico, with leading brands of Lunetas, Duvalín and Bocadín. The amount of this transaction was $290, and resulted in goodwill of $164,which represents the excess of book value over the cost of shares. As these companies are fully integrated into Barcel, S. A. de C. V. as of December 31, 2004, the goodwill originally recognized was amortized early, as mentioned in Note 3 g).

On June 5, 2003, the Company announced the divestment of its flexible packaging business as part of its basic business concentration strategy, under which it also sold its US 90 million shareholding in Novacel, S.A. de C.V. ("Novacel"). Notwithstanding, Novacel will continue to supply a significant part of the flexible packaging utilized by the Company.

On July 22, 2003, the Company acquired 30% of the shares of Pierre, L.L.C. (incorporated in the USA), which holds the shares of Compañía de Alimentos Fargo, S.A. (the Company's main competitor in Argentina).

b. **Translation of subsidiaries' financial statements -** To consolidate the financial statements of foreign subsidiaries operating independently from the Company (located in the USA and other Latin American and European countries, which in 2004 and 2003 represented 32% and 34% of consolidated net sales, respectively, and 33% and 37% of consolidated total assets in 2004 and 2003, respectively), the same accounting policies of the Company are applied. Accordingly, such financial statements are restated for inflation of the country in which the subsidiaries operate and are expressed in local currency of purchasing power at year end. Subsequently, all assets and liabilities are translated at the exchange rate prevailing at year end. Capital stock is translated at the

exchange rate of the dates the contributions were made; retained earnings, at the year end exchange rate of the year in which they were obtained. Revenues, costs and expenses are translated at the exchange rate of the closing of the year in which they were reported. The translation adjustment effects are recorded directly in stockholders' equity.

Grupo Bimbo, S.A. de C.V., through its subsidiary BBU, Inc., which is the holding company of the USA operation, has assigned certain financing in US dollars to purchase this subsidiary as a hedge of its investment. For book purposes, these loans were considered as assigned to this subsidiary and, accordingly, do not generate any exchange gain or loss in Mexican pesos. In 2004 and 2003, these effects were $4 and $121, respectively, recorded as a credit to the results from translation. The monetary effect of such financing was determined using the US inflation index, in accordance with the guidelines of the Bulletin B-15, "Transactions in foreign currency and translation of financial statements of foreign operations".

The financial statements of foreign subsidiaries included in the 2003 consolidated financial statements, are restated in constant currency of the countries where they operate and translated into Mexican pesos, using the exchange rate of the latest year presented.

c. **Comprehensive income and other comprehensive income -** Comprehensive income presented in the accompanying statement of changes in stockholders' equity consists of consolidated net income for the year, plus other items that represent a gain or loss for the same period which, in conformity with accounting principles generally accepted in Mexico, are recorded directly in stockholders' equity, without affecting the results of operations. In 2004 and 2003, the items of other comprehensive income consist of the deficit in restatement of stockholders' equity, the adjustment to additional pension liability and foreign entity translation adjustment effects and minority stockholders' equity. The other comprehensive income is comprised of the comprehensive income corresponding to the majority stockholders' equity.

d. **Reclassifications -** Certain amounts in the financial statements as of December 31, 2003 have been reclassified to conform to the presentation of the financial statements as of December 31, 2004.

3. Summary of significant accounting policies

The accounting policies followed by the Company are in conformity with accounting principles generally accepted in Mexico (Mexican GAAP), which require management to make certain estimates and use certain assumptions to determine the valuation of some of the items included in the financial statements and make the required disclosures therein. While the estimates and assumptions used may differ from their final effect, management believes that they were adequate under the circumstances. The significant accounting policies of the Company are as follows:

a. **Change in accounting principle –** Beginning 2004, the Company adopted the provisions of Bulletin C-12 "Financial Instruments of a Debt or Equity Nature or a Combination of Both" ("C-12"). The adoption of this new accounting principle did not have significant effects in the Company's financial position and results of operations.

b. **Recognition of the effects of inflation -** The Company restates the financial statements of the Mexican entities and foreign subsidiaries in terms of the purchasing power of the Mexican peso at the date of the latest balance sheet, thereby recognizing the effects of inflation. Consequently, the financial statements presented for the prior year have also been restated based on the same purchasing power, while their figures differ from those originally presented, which are shown in pesos of purchasing power at the close of that year. Consequently the figures shown in the accompanying financial statements are therefore comparable as they are expressed in constant pesos.

Annual inflation rates in the countries where the Company operates are as follows:

	%	
	2004	2003
Argentina	6.10	3.65
Brazil	7.59	9.30
Colombia	5.64	6.49
Costa Rica	13.12	9.86
Chile	2.42	1.07
El Salvador	5.37	2.51
Guatemala	9.22	5.90
Honduras	9.18	6.79
Mexico	5.19	3.97
Nicaragua	10.29	6.48
Peru	3.47	2.48
Uruguay	7.59	10.18
USA	3.63	1.87
Venezuela	19.18	27.04

c. **Temporary investments -** Temporary investments are stated at the lower of acquisition cost plus accrued yields, or fair value.

d. **Inventories and cost of sales -** Inventories are stated at average costs, which are similar to their replacement value at year end, without exceeding net realizable value. The cost of sales is stated at actual cost, which is similar to replacement cost at the time goods are sold.

e. **Property, plant and equipment -** Property, plant and equipment are recorded at acquisition or construction cost and restated using the National Consumer Price Index ("NCPI") factors. Depreciation is calculated based on the remaining useful lives of the related assets. The percentages used by the Company at December 31, 2004 and 2003 were as follows:

	%
Buildings	5
Manufacturing equipment	8, 10 and 35
Vehicles	10 and 25
Office equipment	10
Computers	30

f. **Derivative financial instruments -** The derivative financial instruments currently used by the Company are basically hedging contracts for raw materials to reduce exposure to exchange and interest rate fluctuations.

Derivative financial instruments are valued using the same valuation treatment used for the related hedged assets and liabilities, and valuation effects are recognized in results, net of costs, expenses and revenues generated by the assets or liabilities whose risks are being covered, of the period as incurred. The financial assets or liabilities generated by these instruments are presented in the balance sheet with the related hedged liabilities or assets.

At December 31, 2004, the Company has futures that are used to reduce the risk related to adverse fluctuations in the international price of wheat. The corresponding effects are recognized as part of the covered purchase.

g. **Goodwill -** Goodwill represents the excess of cost over book value of subsidiaries at the acquisition date. It is restated using the NCPI and amortized by the straight-line method over a term not to exceed 20 years. Amortization in 2004 and 2003 was $411 and $284, respectively.

In 2004, the Company early amortized $181 corresponding to goodwill of subsidiaries totally integrated into the Company's operations. This amount principally includes goodwill of the subsidiaries Productos de Leche Coronado, S. A. de C. V., Bimbo do Brasil, Ltda. and the negative goodwill of Joyco.

At December 31, 2004, the recorded goodwill is basically comprised by the effects of the acquisition of the USA foreign subsidiary, Mrs. Baird's Bakeries and the assets acquired in 2002 formerly owned by George Weston, Ltd. in the Western United States.

h. **Trademarks and usage rights -** Derived from the acquisition of the George Weston, Ltd. businesses, the Company acquired the trademark of Oroweat bread, as well as a direct distribution system consisting of approximately 1,300 routes. Similarly, it acquired the usage rights of the Entenmann's, Thomas and Boboli trademarks. Such rights are no longer amortized, however, the values are subject to impairment tests.

i. **Impairment of long-lived assets in use -** The Company reviews the carrying amounts of long-lived assets in use when an impairment indicator suggests that such amounts might not be recoverable, considering the greater of the present value of future net cash flows or the net sales price upon disposal. Impairment is recorded when the carrying amounts exceed the greater of the amounts mentioned above. The impairment indicators considered for these purposes are, among others, the operating losses or negative cash flows in the period if they are combined with a history or projection of losses, depreciation and amortization charged to results, which in percentage terms in relation to revenues are substantially higher than that of previous years, obsolescence, reduction in the demand for the products manufactured, competition and other legal and economic factors.

Beginning January 1, 2003, the Company early adopted the provisions of Bulletin C-15, "Accounting for Impairment and Disposal of Long-lived Assets" ("C-15"). The main effect of applying this principle in 2003 was the impairment of goodwill and trademarks causing a reduction of their values by $2,160, which net of a reduction of deferred income taxes of $257 and a charge in the income statement of $1,903 shown as "Cumulative effect of change in accounting principle". The impairment recorded in operating expenses in the year ended December 31, 2004 is $10.

j. **Employee retirement benefits and workers' compensation -** The liability from seniority premiums and pensions is recorded as accrued and is calculated by independent actuaries using the projected unit credit method at actual interest rates. Therefore, the liability is being recognized at present value, on the assumption that the liability for these benefits will be paid on the estimated general retirement date of the Company's employees. Severance is charged to results when the liability is determined to be payable.

Worker's compensation relates to the insurable risks such as general liability, automobile liability, and workers' compensation that are self-insured by the Company, with insurance coverage subject to specified limits. Accruals for claims under the Company's program are recorded on a claim-incurred basis. Liabilities for insurable risks have been determined using the Company's historical data and insurance industry data according to actuarial calculations.

k. **Income tax, tax on assets and employee statutory profit sharing -** The provisions for income tax (ISR) and employee statutory profit sharing (PTU) are recorded in results of the year in which incurred. Deferred ISR tax assets and liabilities are recognized for temporary differences resulting from comparing the book and tax values of assets and liabilities plus any future benefits from tax loss carryforwards. A deferred ISR asset is recorded only when it is highly probable that it will be realized. Deferred PTU is derived from temporary differences between book and taxable income and is recognized only when it can be reasonably assumed that they will generate a liability or benefit, and there is no indication that this situation will change, in such a way that the liabilities will not be paid or benefits will not be realized.

Recoverable tax on assets paid is recorded as an advance payment of ISR and is presented in the balance sheet by decreasing the deferred ISR liability.

l. **Insufficiency in restated stockholders' equity -** This item represents the accumulated monetary position result through the initial restatement of the financial statements and the gain (loss) from holding nonmonetary assets, which represents the change in the specific price level above (below) inflation.

m. **Revenue recognition -** Revenues are recognized in the period in which the risks and rewards of the products are transferred to the customers who purchased them, which is generally when these products are shipped to the customer and the latter assumes responsibility for them. The Company deducts marketing expenses, such as promotion expenses, from sales.

n. **Monetary position result -** Monetary position result, which represents the erosion of the purchasing power of monetary items caused by inflation, is calculated by applying NCPI factors to monthly net monetary position. The gain results from maintaining a net monetary liability position.

o. **Earnings per share -** Basic earnings per share is calculated by dividing consolidated net majority income by the weighted average number of shares outstanding during the year.

4. Accounts and notes receivable

	2004	2003
Customers and agencies	$ 2,435	$ 2,316
Allowance for doubtful accounts	(102)	(170)
	2,333	2,146
Notes receivable	111	117
Recoverable income tax due to the loss on the shares sale	306	1,075
Value-added tax and other recoverable taxes	217	782
Sundry debtors	624	431
Officers and employees	47	17
	$ 3,638	$ 4,568

5. Inventories

	2004	2003
Finished products	$ 342	$ 314
Orders-in-process	18	13
Raw materials, containers and wrapping	716	529
Other	43	12
Inventory reserve	(6)	(3)
	1,113	865
Advances to suppliers	70	146
Raw materials-in-transit	34	47
	$ 1,217	$ 1,058

6. Property, plant and equipment

	2004	2003
Buildings	$ 6,090	$ 6,071
Manufacturing equipment	14,599	14,474
Vehicles	6,074	5,648
Office equipment	145	141
Computers	963	957
	27,871	27,291
Less- accumulated depreciation	(13,311)	(12,719)
	14,560	14,572
Land	1,830	1,666
Construction-in-progress and machinery-in-transit	427	489
	$ 16,817	$ 16,727

7. Investment in shares of associates

At December 31, 2004 and 2003, the investment in associated companies and convertible debentures is as follows:

Associated companies	%	2004	2003
Artes Gráficas Unidas, S. A. de C. V.	15	$ 66	$ 63
Beta San Miguel, S. A. de C. V.	8	201	193
Bismark Acquisition, L.L.C.	30	38	38
Congelación y Almacenaje del Centro, S. A. de C. V.	10	36	34
Grupo Altex, S. A. de C. V.	11	55	60
Grupo La Moderna, S. A. de C. V.	3	72	76
Ovoplus, S. A. de C. V.	25	25	18
Pierre, L.L.C.	30	17	15
Productos Rich, S. A. de C. V.	18	40	38
Others	Various	35	30
		$ 585	$ 565

8. Long-term debt

	2004	2003
Committed Revolving line (Multi-currency) – On May 21, 2004, the Company obtained one revolving credit facility and committed to a loan of US 250 million or $2,750 from four financial institutions, maturing in May 2008. Amounts drawn under this line, in local currency, bear interest at the TIIE rate, plus 0.45%. Amounts drawn under this line in US dollars, bear interest at the LIBOR rate, plus 0.55%. LIBOR rate at December 31, 2004 was 2.92%. On June 8, 2004, Bimbo Group drew US 125 million for the first time, which was used together with the Company's available cash to early settle the remaining US 137 million of the Syndicated Loan contracted on October 2001.	$ 1,408	$ -
Syndicated loan – On October 11, 2001, the Company contracted a Syndicated Loan for US 400 million in which JPMorgan Chase Manhattan Bank acts as Administrating Agent, together with a syndicate comprising others financial institutions . Such Syndicated Loan has two tranches. The first tranche for US 125 million matured in October 2004, of which US 63 million was prepaid on March 20, 2003 and the remaining balance was prepaid on September 22, 2003, these loans bore interest at the LIBOR rate plus 0.85% for the entire term. The tranche consists of US 275 million, which was prepaid in two installments, the first for US 138 million was settled on November 24, 2003, and the second for US 137 million was settled on June 9, 2004. These loans bore interest at LIBOR plus 0.95% for the first three years, LIBOR plus 1% for the fourth year, and finally LIBOR plus 1.05% for the fifth year. This loan is fully paid.	-	1,619
Share certificates - The Company issued share certificates on four occasions (payable upon maturity) to refinance short term liabilities contracted to acquire certain assets in the Western United States. Such issues were structured as follows: - Bimbo 02- For $2,750 issued on May 17, 2002, maturing in May 2007, with a variable interest rate equal to the 182-day CETES rate plus 0.92%, which was 9.73% per annum as of December 31, 2004; - Bimbo 02-2- For $750 issued on May 17, 2002, maturing in May 2012, with a fixed interest rate of 10.15% per annum; - Bimbo 02-3- For $1,150 issued on August 2, 2002, maturing in August 2009, with a fixed interest rate of 11% per annum; - Bimbo 02-4- For $1,850 issued on August 2, 2002, maturing in August 2008, with a variable interest rate equals to the 182-day CETES plus 0.97%, which was 9.13% per annum as of December 31, 2004	6,500	6,839
Direct loans - On February 2, 1996, the Company contracted financing of US 140 million, comprised of 3 promissory notes with IFC. Notes "A" and "B" bear a fixed interest rate of 8.74% and "C" bears a variable interest rate at the 6-month LIBOR, paid semiannually. The term of notes "A" and "B" is 12 years, and principal is paid in 11 annual payments beginning February 1998. Note "C" is for 10 years and will be paid in a lump-sum payment at the end of the contract. This last promissory note was paid early on April 12, 2002. Therefore, the balance of this loan at December 31, 2004 is US 47.2 million	532	698
Other - Certain subsidiaries have contracted other direct loans, which will be paid through 2005 to 2009, at various interest rates	64	18
	8,504	9,174
Less – Current portion of long-term debt	(194)	(473)
Long-term debt	$ 8,310	$ 8,701

At December 31, 2004, long-term debt matures as follows:

2006	$	136
2007		2,883
2008		3,391
2009		1,150
2012		750
	$	8,310

The loan contracts establish certain covenants and also require that the Company, based on the consolidated financial statements, maintain determined financial ratios. At December 31, 2004, the Company had complied with all the obligations established in the loan contracts.

Foreign exchange swaps - On May 28 2004, the Company contracted one foreign exchange Swap to convert its liabilities from US dollars to Mexican pesos. This transaction matures on January 7, 2005, at which time the Company must pay the equivalent of US 100 million, at an exchange rate of $11.4575. An interest rate swap will take place during the term of this transaction, under which the Company will pay a variable rate in pesos at the 28-day TIIE rate plus 0.55%, thus receiving a variable rate in dollars at the one-month LIBOR rate plus 0.55%.

The Company contracted three foreign exchange Swaps to convert its liabilities in Mexican pesos to US dollars. The first Swap began on October 6, 2003, and matures on November 10, 2005. Upon its maturity, the Company must sell the notional amount of US 20 million at the price of $11.1150 mexican pesos for one US dollar. An interest rate swap will take place during the term of this transaction, under which the Company will pay a variable rate in dollars at the six-month LIBOR rate plus 3.65%, thus receiving a fixed rate in pesos of 10.15%.

The second Swap began on September 1, 2004, and matures on August 1, 2007. Upon its maturity, the Company must sell the notional amount of US 75 million at the price of $11.00 mexican pesos for one US dollar. An interest rate swap will take place during the term of this transaction, under which the Company will pay a variable rate in dollars at the six-month LIBOR rate plus 3.40%, thus receiving a fixed rate in pesos of 11.00%.

The third Swap, divided into three transactions, began in early September 2003 and matures on August 3, 2009. Upon its maturity, the Company must sell the notional amount of US 75 million at a weighted price of $11.00 mexican pesos for one US dollar. An interest rate Swap will take place during the term of this transaction, under which the Company will pay a variable weighted rate in dollars at the six-month LIBOR rate plus 3.02%, thus receiving a fixed weighted rate in pesos of 11.00%.

Interest rate Swaps - In relation to the fourth issue of traded certificates for $1,850, the Company contracted four interest rate swaps equal to $1,000 that fix the rate at the 182-day CETES plus 0.97%, from August 2002 through August 2005. The Company must pay a weighted fixed rate of 10.9350% on the four instruments.

In relation to the first issue of traded certificates for $2,750 acquired in May 2002, the Company contracted an interest rate Swap to fix the cost of issuance at a variable rate, mitigating the risks implicit in the nominal rates. This transaction fixes the variable rate of this instrument at 10.38%.

Also, to mitigate the volatility of the interest rates in US dollars, on January 14 and 16, 2002, the Company contracted three interest rate swaps for a total of US 200 million, fixing the financing cost of the Syndicated Loan contracted on October 11, 2001. These three swaps fix the three-month LIBOR in US dollars. The effective date of the instruments is February 16, 2002 and they expire on August 16, 2005. The final weighted fixed rates in US dollars that the Company must pay are as follows:

From February 2002 to February 2003	2.65%
From February 2003 to February 2004	4.48%
From February 2004 to February 2005	5.23%
From February 2005 to August de 2005	5.37%

Foreign exchange forwards - The Company purchases and sells US dollars to satisfy its operating requirements and to correctly manage the exchange position of its assets and liabilities. At December 31, 2004, the Company has an open forward purchase of US 96 million, maturing in January 2005.

9. Employee retirement benefits and workers' compensation

a. **Mexico -** The Company has pension and death or total disability plans for its management-level employees and a seniority premium plan for all of its employees, in accordance with employment contracts. The related liability and annual benefits costs are calculated by an independent actuary in conformity with the bases defined in the plans, using the projected unit credit method.

The present value of these obligations and the rates used in the calculation are as follows:

	2004	2003
Accumulated benefit obligation	$ (2,559)	$ (2,430)
Projected benefit obligation	$ (3,166)	$ (2,969)
Plan assets (fund in trust)	3,296	3,217
Funded status	130	248
Items to be amortized:		
Past service costs and changes to the plan	(20)	(21)
Variances in assumptions and adjustments for experience	575	630
Transition asset	(495)	(520)
Net projected asset (included in other assets)	$ 190	$ 337

Net cost of the period is as follows:

	2004	2003
Cost of services for the year	$ 187	$ 179
Amortization of transition asset	(27)	(28)
Amortization in past services and changes to the plan, variances in assumptions and adjustments for experience	14	18
Cost of financing for the year	132	123
Less – yield on fund assets	(159)	(156)
Net cost of the period	$ 147	$ 136

The actual interest rates used in the actuarial calculations were:

	2004	2003
Discount of projected benefit obligation at present value	5.0%	5.0%
Wage increase	1.5%	1.5%
Yield on fund assets	4.5%	4.5%

Unrecognized items are charged to results based on the average remaining service lives of employees expected to receive benefits, which is 27 years.

b. **USA -** The Company has three defined benefit pension plans ("the Pension Plans") that cover eligible employees. The Company's funding policy is to make discretionary annual contributions. During 2004 and 2003, the Company made contributions to the Pension Plans of $183 and $90, respectively.

The following table sets forth the funded status and amounts recognized for the Pension Plans and the workers' compensation liability in the consolidated balance sheet as of December 31, 2004 and 2003:

	2004	2003
Actuarial present value of accumulated benefit obligation	$ 1,318	$ 1,106
Actuarial present value of projected benefit obligation for services rendered to date	$ 1,438	$ 1,431
Plan assets	(926)	(815)
Plan assets in excess of projected benefit obligation	512	616
Unrecognized net loss	(371)	(380)
Additional minimum liability	260	148
Net projected liability	401	384
Workers' compensation	359	398
Employee retirement benefits and workers' compensation	$ 760	$ 782

Net pension cost includes the following components:

	2004	2003
Cost of services for the year	$ 82	$ 75
Cost of financing for the year	84	83
Expected return on plan assets	(79)	(84)
Net loss recognition	12	-
Net pension cost	$ 99	$ 74

Following is a summary of significant actuarial assumptions used:

	2004	2003
Weighted average discount rates	6.25%	6.25%
Rates of increase in compensation levels	3.75%	3.75%
Expected long-term rate of return on assets	8.25%	8.25%

c. **Other countries -** At December 31, 2004, the liability from employee retirement benefits in other countries is not significant.

10. Stockholders' equity

a. At December 31, 2004, stockholders' equity consists of the following:

	Number of shares	Par value	Restatement effect	Total
Fixed Capital				
Series A	1,175,800,000	$ 1,902	$ 5,276	$ 7,178
Series B	-	-	-	-
Total shares	1,175,800,000	$ 1,902	$ 5,276	$ 7,178
Reserve for repurchase of shares		600	81	681
Retained earnings		5,338	11,048	16,386
Deficit in restatement of stockholders' equity		-	(5,175)	(5,175)
Initial cumulative deferred income taxes effect		(1,747)	(386)	(2,133)
Minority interest		407	17	424
Total		$ 6,500	$ 10,861	$ 17,361

Capital stock is fully subscribed and paid, and represents fixed capital. Variable capital cannot exceed 10 times the amount of minimum fixed capital without right of withdrawal and must be represented by Series "B", ordinary, nominative, no-par shares and/or limited voting, nominative, no-par shares of the Series to be named when they are issued. Limited voting shares cannot represent more than 25% of non-voting capital stock.

b. Dividends paid in 2004 and 2003 were:

Approved at the stockholders' meeting on:	Mexican pesos per share	Per value total	Value at December 31, 2004
November 8, 2004	$ 0.60	$ 705	$ 707
April 29, 2004	$ 0.24	$ 282	$ 292
April 30, 2003	$ 0.21	$ 247	$ 266

c. Retained earnings include the statutory legal reserve. The General Corporate Law requires that at least 5% of net income of the year be transferred to the legal reserve until the reserve equals 20% of capital stock at par value (historical pesos). The legal reserve may be capitalized but may not be distributed unless the entity is dissolved. The legal reserve must be replenished if it is reduced for any reason. At December 31, 2004 and 2003, the legal reserve, in historical pesos, was $500.

d. Stockholders' equity, except restated paid-in capital and tax retained earnings, will be subject to income tax at the rate in effect when the dividend is distributed. In 2004, the ISR rate was 33%; it will decrease to 30% in 2005, and subsequently one percentage point each year, until reaching 28% in 2007. Any tax paid on such distribution, may be credited against the income tax payable of the year in which the tax on the dividend is paid and the two fiscal years following such payment.

e. The balances in the stockholders' equity tax accounts at December 31, are:

	2004	2003
Paid-in capital	$ 5,078	$ 5,078
Net after-tax income	12,121	11,269
Total	$ 17,199	$ 16,347

11. Foreign currency balances and transactions

a. At December 31, 2004 and 2003, the foreign currency monetary position in millions of US dollars, for the Mexican entities only, is as follows:

	2004	2003
Current assets	30	-
Liabilities-		
Short term	19	76
Long term	160	157
Total liabilities	179	233
Liability position, net	149	233
Mexican peso equivalent	$ 1,679	$ 2,611

b. The Company has significant operations in USA and OLA as indicated in Note 17.

c. Transactions in millions of US dollars, for the Mexican entities only, were as follows:

	2004	2003
Export sales	89	92
Imported purchases	108	27

d. The exchange rates in effect at the dates of the balance sheets and of issuance of these financial statements, respectively, were as follows:

	2004	2003	March 7, 2005
Pesos per US dollar	$ 11.2648	$ 11.2360	$ 11.0837

12. Transactions and balances with related parties

a. Transactions with related parties, carried out in the ordinary course of business, were as follows:

	2004	2003
Expenses-		
Purchases of raw materials and finished products	$ 3,628	$ 3,338

b. The net balances payable to related parties are:

	2004	2003
Artes Gráficas Unidas, S. A. de C. V.	$ 34	$ 26
Beta San Miguel, S. A. de C. V.	87	62
Efform, S. A. de C. V.	8	8
Frexport, S. A. de C. V.	29	26
Grupo Altex, S. A. de C. V.	112	120
Industrial Molinera Montserrat, S. A. de C. V.	16	24
Industrial Molinera San Vicente de Paul, S. A. de C. V.	11	11
Makymat, S. A. de C. V.	8	3
Ovoplus del Centro, S. A. de C. V.	23	9
Pan-Glo de México, S. de R. L. de C. V.	2	2
Paniplus, S. A. de C. V.	18	8
Proarce, S. A. de C. V.	19	9
Grupo La Moderna, S. A. de C. V.	1	-
Uniformes y Equipo Industrial, S. A. de C. V.	9	4
	$ 377	$ 312

13. Other expenses, net

	2004	2003
Tax restatement	$ (53)	$ (29)
Loss on sale of fixed assets	58	75
Amortization of goodwill	410	299
Income from the sale of shares	(5)	(30)
Others, net	27	(102)
	$ 437	$ 213

14. Tax environment

Income taxes, tax on assets and employee statutory profit sharing in Mexico

Companies established in Mexico are subject to income tax (ISR) and asset tax (IMPAC). ISR is computed by taking into consideration the taxable and deductible effects of inflation, such as depreciation calculated on restated asset values, as well as deduction of purchases in place of cost of sales, which permit the deduction of current costs, and taxable income is increased or reduced by the effects of inflation on certain monetary assets and liabilities through the annual inflationary adjustment, which is similar to monetary position gain or loss.

The ISR rates were 33% in 2004 and 34% in 2003, IMPAC is computed at an annual rate of 1.8% on the average of the majority of restated assets, certain liabilities, and the tax is paid only to the extent that it exceeds ISR of the current year Additionally, any required payment of IMPAC may be credited against the excess of ISR over IMPAC in the next 10 years.

On December 1, 2004, certain amendments to the ISR and IMPAC Laws were published and are effective as of 2005. The primary amendments were as follows: a) the ISR rate was reduced to 30% in 2005, 29% in 2006 and 28% as of 2007; (b) for income tax purposes, cost of sales will be deducted instead of inventory purchases; c) in 2005, an option was established to amortize inventories at December 31, 2004 into taxable income over a period from 4 to 12 years determined in conformity with the respective tax rules; when electing to amortize inventories into taxable income, any unamortized balance of inventories under Rule 106 and unamortized tax loss carryforwards must be deducted from the inventory balance; inventories may be deducted as sold; d) as of 2006, the employee statutory profit sharing paid will be fully deductible for income tax purposes; e) the deduction or accrual of the effect of inflation is now applicable to essentially all monetary assets and liabilities and f) bank liabilities and liabilities with foreign entities are included in the determination of the IMPAC taxable base.

Grupo Bimbo, S.A. de C.V. determined consolidated ISR and IMPAC with its subsidiaries (except foreign subsidiaries), in the proportion held of the voting stock of its subsidiaries at year-end. As of January 1, 2002, the proportion is calculated based on the average daily equity percentage of its subsidiaries held by the holding company during the year. The tax results of the subsidiaries and that of the holding company are consolidated at 60% of such proportion. Estimated payments of ISR and IMPAC of both the Company and its subsidiaries are made as if the holding company did not file a consolidated tax return.

As part of the modifications to the Income Tax Law described above, as of 2005 the consolidated taxable base must be again determined by considering the percentage held of the voting stock instead of that subject to consolidation. As of 2006, tax returns will no longer be filed as if the holding company filed a consolidated tax return, but the direct payments to tax authorities for each company will be based on the non-consolidatable percentage, while the holding company must be paid the percentage subject to consolidation .

Income taxes, tax on assets and employee statutory profit sharing in other countries

The foreign subsidiaries calculate income taxes on their individual results, in accordance with the regulations of each country. The subsidiaries in the US have authorization to file a consolidated income tax return.

The tax rates applicable in other countries where the Company operates and the period in which tax losses may be applied, are as follows:

	Statutory Income Tax Rate (%)	Year of Expiration
Austria	34.0	(a)
Argentina	35.0	5
Brazil	34.0	(a)
Colombia	38.5	(b)
Costa Rica	30.0	3
Chile	17.0	(c)
Czech Republic	31.0	7
El Salvador	25.0	(d)
Guatemala	31.0	(e)
Honduras	30.0	(d)
Hungary	18.0	5
Nicaragua	30.0	4
Peru	30.0	(f)
Spain	35.0	10
United States	37.6	16 to 20
Uruguay	16.0	3
Venezuela	34.0	3

(a) Tax losses do not have an expiration date; however, only up to certain percentage of taxable income, may be applied each year.

(b) In Colombia, tax losses generated before December 31, 2002 may be applied within a period of five years, and tax losses generated after January 1, 2003 may be applied within a period of eight years, but limited to 25% of the taxable income of each year.

(c) With no expiration date.

(d) Losses cannot be recovered.

(e) In Guatemala, newly incorporated companies may apply tax losses; therefore, it is not applicable to the Company.

(f) Four years in Peru beginning in the year taxable income is generated.

Operations in Argentina, Colombia, Guatemala, Nicaragua and Venezuela are subject to the lower of IMPAC or ISR.

Operations in Brazil and Venezuela are subject to PTU payments according to certain rules based either on taxable or accounting income. During 2004 and 2003 there were no PTU payments in such countries.

Items comprising the ISR provision, effective rate and deferred effects

a. Income taxes and employee-statutory profit sharing consist of the following:

	2004	2003
ISR:		
Current	$ 1,367	$ 793
Deferred	(501)	75
	$ 866	$ 868
PTU:		
Current	$ 267	$ 305
Deferred	74	-
	$ 341	$ 305

b. Following is a reconciliation of the statutory and effective ISR rates expressed as a percentage of income before ISR and PTU at December 31, 2004:

	%
Statutory income tax rate	33.0
Inflationary effects	0.6
Non deductible expenses and others	2.7
Difference in tax rates applied by subsidiaries located in various tax jurisdictions	(4.3)
Effect of reduction in statutory rate on deferred ISR	(4.9)
Difference in the valuation of tax loss carryforwards allowance	(0.4)
Effective tax rate	26.7

c. At December 31, 2004 and 2003, the main items comprising the deferred income tax liability are as follows:

	2004	2003
Advances to customers	$ (113)	$ -
Allowance for doubtful accounts	(33)	(19)
Inventories	257	141
Property, plant and equipment and intangibles	1,308	1,094
Other investments	(58)	(61)
Other reserves	(476)	(287)
Tax loss carryforwards	(1,465)	(1,011)
Valuation allowance	621	635
Recoverable tax on assets	(184)	(137)
Total (assets) liability	$ (143)	$ 355

Income tax assets and liabilities resulting from different taxable entities and tax authorities, which have not been offset in the balance sheet, are as follows:

	2004	2003
Deferred income tax asset	$ 1,723	$ 1,424
Deferred income tax liability	1,580	1,779
Net (asset) liability	$ (143)	$ 355

d. Since the Company's tax losses are mainly derived from its transactions with USA and different countries of the OLA, certain tax losses were not applied before their expiration date. Consequently, the Company has recognized a valuation allowance for part of such tax items.

e. Tax loss carryforwards and recoverable IMPAC for which the deferred ISR asset and prepaid ISR, respectively, can be recovered subject to certain conditions. Tax losses generated in countries in which is applicable an expiration date, will expire from 2005 through 2024, with most expiring as of 2020.

f. As a result of the tax amendments published on December 1, 2004, the Company recorded a net deferred PTU liability of $ 74 related to inventories, since cost of sales will now be deducted in place of inventories purchased, as mentioned in this note above.

15. Extraordinary gain

During the fourth quarter of 2003, an extraordinary gain of $1,689 derived from the favorable conclusion of a lawsuit filed by the Company. The aforementioned lawsuit involved the treatment of losses suffered from the sale of shares, per article 25-XVIII of the ISR Law in effect until December 31, 2001. In 2004, the Company obtained a similar favorable verdict, and obtained the corresponding amounts of restatement for inflation and interest generated from such favorable verdict. The effect was $542 net of $ 81 of income tax effect.

16. Commitments

Guaranties and/or guarantors

a. At December 31, 2004, in conjunction with certain subsidiaries, Grupo Bimbo, S.A. de C.V. issued letters of credit to guarantee commercial obligations and contingent risks related to the labor obligations of certain subsidiaries. Together with those issued to guarantee third-party obligations derived from long-term supply contracts executed, the value of such letters of credit is US 106.7 million, for which a liability of $359 was recognized in USA (US 32 million, see Note 9).

b. The Company has guaranteed certain contingent obligations of associated companies for the amount of US 30.2 million. Similarly, the Company has issued guaranties for third party obligations derived from the sale of assets in prior years, for the amount of US 14 million.

Leasing commitments

c. The Company has long-term commitments under operating lease, principally for the facilities used to produce, distribute and sell its products. These commitments vary from three to 15 years, with a renewal option of between one and five years. Certain leases require the Company to pay all related expenses, such as taxes, maintenance and insurance for the term of the contracts. The total amount of lease commitments is as follows:

2005	$ 235
2006	197
2007	153
2008	115
2009	90
2010 and thereafter	189
Total	$ 979

Liens

d. At December 31, 2004, the Company has collateral in cash of $7.6 to guarantee certain liabilities of an associated company.

17. Information by geographical area

The following are the principal data by geographical area in which the Company operates for the years ended December 31, 2004 and 2003:

2004

	Mexico	USA	OLA	Consolidation eliminations	Total
Net sale s	$ 35,651	$ 13,442	$ 3,556	$ (1,104)	$ 51,545
Operating income (loss)	$ 4,484	$ (294)	$ (84)	$ 30	$ 4,136
Majority net income (loss)	$ 3,498	$ (665)	$ (464)	$ 200	$ 2,569
Depreciation and amortization (excluding amortization of goodwill)	$ 1,070	$ 350	$ 190	$ -	$ 1,610
Operating income (loss), plus depreciation and amortization (EBITDA)	$ 5,554	$ 56	$ 106	$ 30	$ 5,746
Total assets	$ 21,764	$ 9,845	$ 3,840	$ (1,545)	$ 33,904
Total liabilities	$ 16,302	$ 2,208	$ 873	$ (2,840)	$ 16,543

2003

	Mexico	USA	OLA	Consolidation eliminations	Total
Net sales	$ 33,197	$ 13,344	$ 3,405	$ (846)	$ 49,100
Operating income (loss)	$ 4,067	$ (442)	$ (158)	$ 18	$ 3,485
Majority net income (loss)	$ 3,811	$ (3,171)	$ (241)	$ 642	$ 1,041
Depreciation and amortization (excluding amortization of goodwill)	$ 1,076	$ 322	$ 169	$ -	$ 1,567
Operating income (loss), plus depreciation and amortization (EBITDA)	$ 5,143	$ (120)	$ 11	$ 18	$ 5,052
Total assets	$ 19,618	$ 10,677	$ 2,869	$ 363	$ 33,527
Total liabilities	$ 12,387	$ 4,655	$ 696	$ (790)	$ 16,948

18. New accounting principles

In May 2004, the IMCP issued Bulletin B-7, "Business Acquisitions" ("B-7"), whose application is mandatory for financial statements of periods beginning on January 1, 2005, although early adoption is encouraged. B-7 provides updated rules for the accounting treatment of business acquisitions and investments in associated entities. It establishes, among others; the adoption of the purchase method as the only accounting method for business combinations; it eliminates the amortization of goodwill, which is now subject to the impairment rules; it establishes rules for the accounting treatment of asset transfers or share exchange among entities under common control as well as for the acquisition of minority interest based on the provisions of Bulletin B-8, "Consolidated and combined financial statements and valuation of permanent investments in shares". Management estimates that the main effect of adopting this new principle as of January 1, 2005 will be to suspend the amortization of goodwill, whose balance as of December 31, 2004 is $3,118, for an annual amount of $169 in the income statement.

In April 2004, the IMCP issued Bulletin C-10, "Derivative instruments and hedging activities" ("C-10 "), whose application is mandatory for financial statements of periods beginning on January 1, 2005, although early adoption is encouraged. In general, C-10 establishes that for fair value hedges, any variances in the fair value, both of the derivative and the underlying risk position, must be reflected in current earnings when such variances occur; for cash flow hedges, the effective portion of fair value variances must be recognized in other comprehensive income in stockholders' equity, while the ineffective portion must affect current earnings.

With respect to derivative financial instruments, C-10 establishes the conditions that must be met for an instrument to be considered as such, and revises and adds definitions. It also includes rules regarding the elements involved in hedging activities, including the formal documentation at the inception of each hedge and measurement of its effectiveness during its term, among others; C-10 classifies hedges into three categories: a) fair value hedges, b) cash flow hedges and c) foreign currency hedges, and provides specific rules by type of hedge, for their valuation, recognition, presentation and disclosure. Company management estimates that this new accounting principle will not have a material effect on its financial position and results of operations.

In April 2004, the IMCP issued Amendments to Bulletin C-2, "Financial instruments" ("C-2"), whose application is mandatory for financial statements of periods beginning on January 1, 2005, although early adoption is encouraged. Revised C-2 basically establishes that any variances in the fair value of financial instruments classified as available for sale must be recognized in other comprehensive income and reclassified to current earnings upon sale of such instruments; revised C-2 includes the possibility of making transfers among some of the categories under which financial instruments are classified, provided that conditions and rules for their accounting recognition are met. It also extends the applicability of impairment rules to financial instruments available for sale and provides more precise rules for their recognition. Company management estimates that this new accounting principle will not have a material effect on its financial position and results of operations.

In January 2004, the IMCP issued revised Bulletin D-3, "Labor obligations" ("D-3"), which replaces the concept of unforeseen severance payments that are recognized in earnings of the period in which the payment decision is made, with that of "Severance payments at the end of the work relationship", defined as payments granted to employees when they conclude their labor relationship before reaching retirement age, for which the valuation and disclosure rules applicable to pension and seniority premium payments must be followed. Revised D-3 is mandatory as of January 1, 2005, but grants the option to immediately recognize in earnings the resulting transition asset or liability, or to amortize it over the average remaining labor life of employees. Company management estimates that this new accounting principle will not have a material effect on its financial position and results of operations.

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Produce and market food products, develop the value of our brands.
Committing ourselves to be a Company:

- Highly productive and people oriented.
- Innovative, competitive and strongly focused towards satisfying our customers and consumers.
- International leader in the bakery industry, with long-term vision.